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College of Engineering and Management Master of Science in Industrial
Engineering

PROJECT REPORT

Analysis of a NYSE listed company Spotify Technology S.A.
(NYSE: SPOT)



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SUMMARY

CHAPTER I: COMPANY BACKGROUND	5
1.1 Foundation and evolution	5
1.2 Business model and mission	6
1.2.1 The Freemium Architecture.....	6
1.2.2 The Access-Based Paradigm.....	7
1.3 Products and services	7
1.3.1 Core Streaming Features.....	7
1.3.2 The Audio Diversification Strategy.....	8
1.4 Corporate structure and subsidiaries	9
1.4.1 Corporate Geography and Governance.....	9
1.5 Mergers & Acquisitions strategy.....	9
1.5.1 Early Acquisitions: Talent and Engagement.....	9
1.5.2 Strategic Pivot: Podcast Dominance.....	10
1.6 Patents and technological assets	10
CHAPTER II: MARKET	12
2.1 From physical format to streaming: industry transformation and Spotify's role.....	12
2.2 The competitive landscape.....	13
2.2.1. Spotify.....	14
2.2.2 Apple Music.....	14
2.2.3 Tencent Music Entertainment.....	14
2.2.4 NetEase Cloud Music.....	15
2.2.5 YouTube Music.....	15
2.2.6 Amazon Music.....	15
2.3 SWOT Analysis.....	15
2.3.1 Strengths.....	16
2.3.2 Weaknesses.....	18
2.3.3 Opportunities.....	20
2.3.4 Threats.....	21
2.4 Investments and strategic partnerships	22
2.5 PESTEL analysis of the industry	23
CHAPTER III: FINANCIALS	26
3.1 Profitability Indicators.....	26
3.1.1 Return on Assets (ROA).....	26
3.1.2 Return on Equity (ROE).....	28
3.1.3 Return on Invested Capital (ROIC).....	29
3.1.4 Net Profit Margin.....	30
3.1.5 EBIT Margin.....	32
3.2 Activity Indicators	33
3.2.1 Asset Turnover Ratio.....	34

3.2.2 Fixed Turnover Ratio.....	34
3.2.3 Receivable Turnover & Days Sales Outstanding	35
3.2.4 Payable Turnover & Days of Payables Outstanding	36
3.2.5 Work in Capital Turnover.....	37
3.3 Liquidity indicators	38
3.3.1 Current Ratio.....	39
3.3.2 Quick Ratio.....	39
3.3.3 Cash Ratio.....	40
3.4 Profitability analysis	41
3.4.1 Debt-to-Assets Ratio.....	41
3.4.2 Debt-to-Equity Ratio.....	42
3.4.3 Interest Coverage Ratio.....	43
3.5 Market Performance Indicators	44
3.5.1 Earnings per Share (EPS).....	44
3.5.2 Price-to-Earnings (P/E) Ratio.....	44
3.5.3 Price-to-Sales (P/S) Ratio.....	45
3.5.4 Price-to-Cash Flow.....	45
3.6 Dividend and Shareholder Distribution Indicators.....	46
3.6.1 Dividend Yield.....	46
3.6.2 Dividend Payout Ratio.....	46
3.6.3 Share Buyback Activity.....	46
3.7 Industry-Specific Indicators for Streaming and Digital Platforms.....	47
3.7.1 Subscriber Growth Rate.....	47
3.7.2 ARPU (Average Revenue per User).....	48
3.7.3 Content Cost Ratio.....	49
3.7.4 Customer Acquisition Cost (CAC).....	51
3.7.5 R&D Intensity.....	51
CHAPTER IV: COMPARISON WITH COMPETITORS / INDUSTRY AVERAGE	53
4.1 Benchmarking with key players	53
4.1.1 Spotify.....	53
4.1.2 Apple Music (Apple Inc.).....	54
4.1.3 Amazon Music (Amazon.com Inc. - Music Unlimited).....	55
4.1.4 YouTube Music / YouTube Premium (Alphabet Inc.).....	55
4.1.5 Tencent Music Entertainment (TME).....	56
4.1.6 NetEase Cloud Music (NCM / Cloud Music Inc.).....	57
4.2 Comparison synthesis	58
4.3 Performance benchmarks	59
CHAPTER V: FUTURE PERSPECTIVES AND STRATEGIC LEVERS.....	61
5.1 Innovation and diversification strategy	61
5.2 Geographical expansion	63
5.3 Sustainability and ESG initiatives	65
5.4 Strategic risks and challenges	66
5.5 Long-term outlook	67

CONCLUSION	69
REFERENCES	70

CHAPTER I: COMPANY BACKGROUND

1.1 Foundation and evolution

Spotify, officially established in 2006 by the entrepreneurial duo of Daniel Ek and Martin Lorentzon in Stockholm, Sweden, stands as a defining institution in the modern trajectory of the music industry. The very name of the company, a clever combination of the words “spot” and “identify,” accurately describes its core proposition: to facilitate the immediate identification and access to music for its global user base. The genesis of Spotify was an attempt to solve an existential crisis within the music industry. The proliferation of illicit file-sharing platforms like Napster in the late 1990s had dramatically severed the link between music consumption and revenue generation, leading to a precipitous decline in music sales. Ek’s vision was not merely to create another music platform but to design a legally viable and economically attractive ecosystem that could successfully lure consumers away from piracy by offering a superior experience.

The Music Industry Revenue Collapse

How Piracy Devastated the Recording Industry (1999-2015)



Ek, already a successful entrepreneur, brought immediate credibility and capital to the venture. A key strategic move in the early stages was the recruitment of Sean Parker, the original founder of Napster, to the Spotify board. This move was a deliberate message to rights holders: Spotify was committed to creating a lawful solution that acknowledged the lessons and failures of the first wave of digital disruption. The early development phase was characterized by an intense focus on securing licensing. The two-year period between the company's founding in 2006 and its official launch in 2008 was largely devoted to negotiating complex rights and royalty structures with all major record labels, a necessity for legal operation.

The initial strategy focused on a meticulous, phased rollout. Spotify first concentrated on consolidating its user base across specific European markets where piracy was rampant. This proved to be a successful incubation period. The pivotal shift from a European startup to a global powerhouse occurred in 2011

when Spotify managed to navigate the tough licensing situation to get things launched in the United States market. This expansion was boosted by a critical strategic partnership with Facebook, which enabled quick, seamless user acquisition and, more importantly, integrated music sharing directly into the rapidly expanding social media ecosystem. This symbiotic relationship allowed Spotify to exploit the network effects of social media, quickly accumulating a critical mass of users.

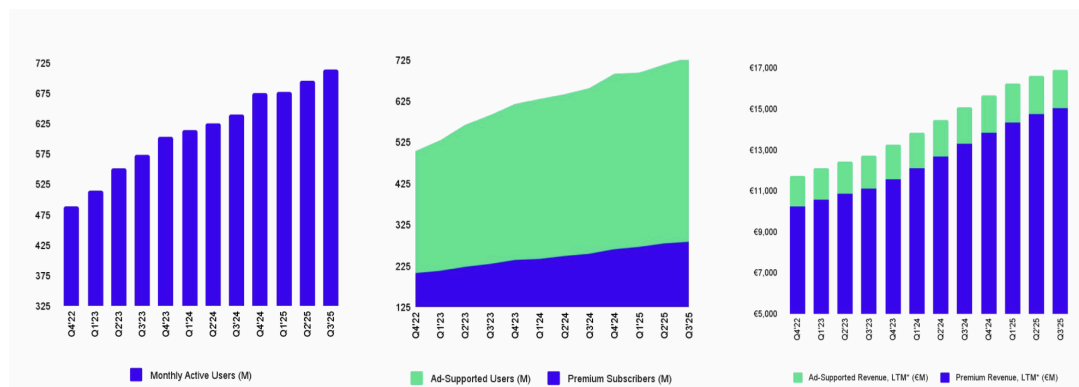
Structurally, a monumental event was the company's decision to become a publicly traded entity. In April 2018, Spotify achieved its listing on the New York Stock Exchange (NYSE). Rather than undertaking a conventional Initial Public Offering (IPO), the company opted for a non-traditional Direct Public Offering (DPO). This novel approach skipped the lengthy and costly process involving underwriters and allowed existing investors and employees immediate liquidity by avoiding the standard lockup period. By 2025, Spotify had firmly strengthened its status as a widespread global enterprise, extending its operational footprint to over 180 countries. The platform reported a considerable user base, with 281 million paying subscribers and 713 million monthly active users globally.

1.2. Business Model and Mission

1.2.1 The Freemium Architecture

Spotify's operational bedrock is the "freemium" business model, a highly effective strategy that simultaneously serves two distinct market segments. The model offers a fundamental, free-of-charge tier that provides universal access to the vast audio content library. This service is monetized exclusively through integrated advertisements, allowing the company to generate revenue while converting curious users into active listeners. The free service is deliberately structured with certain limitations, such as limited skips, mandatory advertisements, and the absence of on-demand track selection on mobile, to incentivize an upgrade.

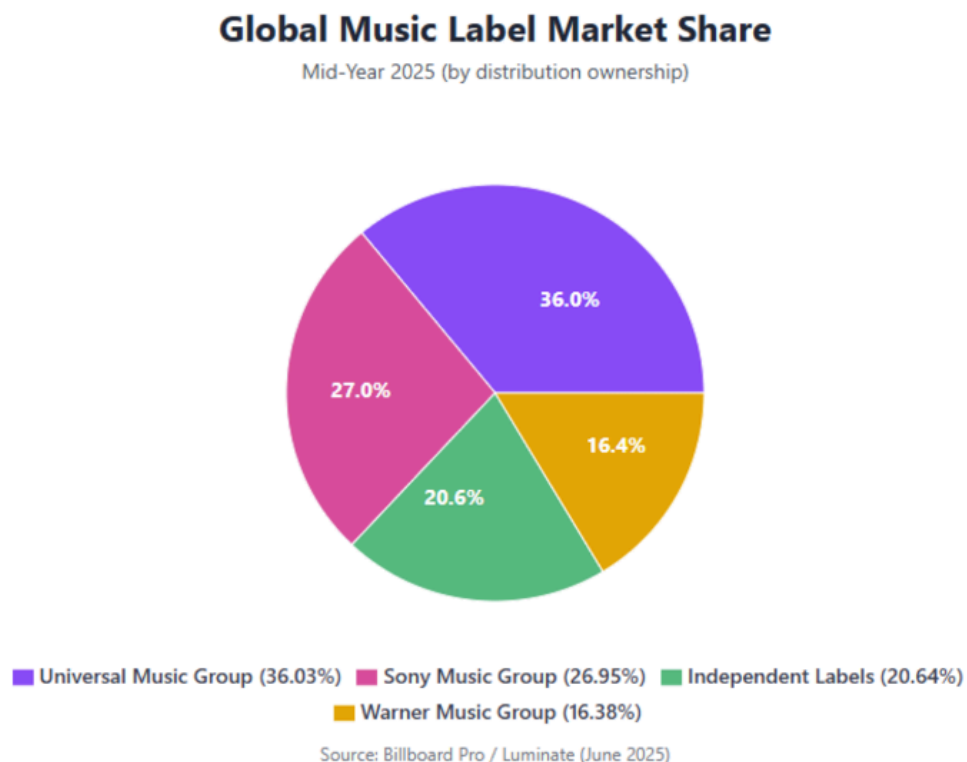
The premium subscription tier represents the company's primary revenue stream. Available at multiple pricing levels, including discounted plans for students and family-shared accounts, this paid service eliminates the restrictions of the free tier. Key premium benefits include ad-free listening, the ability to select and play any track on demand (a crucial feature for user control), unlimited song skipping, and the invaluable option of offline playback.



1.2.2 The Access-Based Paradigm

Daniel Ek positioned Spotify's core mission as a fundamental shift toward an "access-based" consumption model, deliberately contrasting it with the historical "transaction-based" model (i.e., buying CDs or digital downloads). The success of this model is founded on the idea that consumers value instant, unlimited access to virtually all recorded music over the ownership of individual tracks or albums.

To sustain this model, Spotify established complex licensing agreements, agreeing to remit a significant portion of its total revenue, around 70 percent, to record labels, publishers, and distributors. This system of revenue-sharing ensures the continuous influx of content.



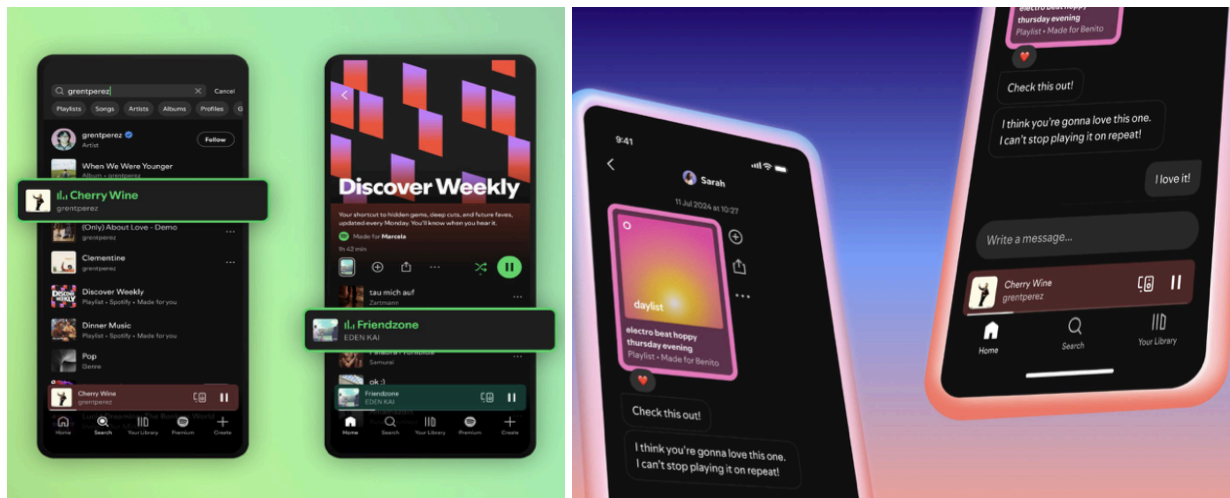
1.3 Products and Services

1.3.1 Core Streaming Features

Spotify's primary offering is a vast streaming service providing on-demand access to millions of songs and other audio content. This content can be streamed across a wide range of electronic devices, including smartphones, tablets, computers, and gaming consoles, and that's what ensured the company's dominance in the market. Key services for users include the ability to:

- ❖ **User-Generated Playlists:** the ability for users to curate, name, and manage their own music collections is a foundational feature. This engagement mechanism has resulted in the creation of billions of unique playlists, driving both personal listening and content sharing;

- ❖ **Algorithmic Discovery:** Spotify is renowned for its proprietary recommendation algorithms, which analyze listening habits to generate highly personalized content suggestions, most famously the "Discover Weekly" playlist. This blend of personalization and serendipity is a critical technological asset;
- ❖ **Social and Curated Content:** the platform integrates social features allowing users to follow artists and other users, sharing musical tastes and experiences. Complementing this, there are professionally curated playlists compiled by in-house editors, deejays, and celebrity guests, offering content discovery;
- ❖ **Radio and Connectivity:** beyond traditional playlists, users can initiate personalized radio stations based on a single track or artist, offering an unending stream of related music;
- ❖ **Messages feature:** the platform has recently introduced messages for both Free and Premium users. This new communication capability is currently available to users aged 16 and over in select markets, and is accessible specifically on mobile devices. It enables fans to keep track of their personal recommendations and to easily share their favorite content, which includes music, podcasts, and audiobooks, with their friends and family.



1.3.2 The Audio Diversification Strategy

Recognizing that the competition in music streaming was intensifying (notably from Apple Music and Amazon), Spotify enhanced an aggressive diversification strategy starting around 2019, shifting from a music platform to a broad audio platform.

This strategic move was primarily focused on podcasting. By investing heavily in original content and acquiring key production and technology assets, Spotify established itself as a leading distributor of spoken-word content.

More recently, the company expanded into audiobooks, recognizing the potential to monetize long-form audio content beyond music and podcasts. This move signals Spotify's long-term intention to capture a dominant share of the consumer's entire "audio hours".

Furthermore, Lossless audio was introduced for Premium subscribers in over 50 markets. This feature allows subscribers to access higher-quality audio, up to 24-bit/44.1 kHz FLAC, significantly enhancing the detail and listening experience for almost all available songs on Spotify.

1.4 Corporate Structure and Subsidiaries

1.4.1 Corporate Geography and Governance

Spotify Technology S.A. is formally structured as a publicly traded company, listed on the New York Stock Exchange under the symbol SPOT. The corporate framework is intentionally distributed, a common strategy for international tech firms. While the company retains its deep historical and cultural roots in Sweden, operating its administrative headquarters in Stockholm, its Corporate Headquarters are strategically located in Luxembourg City, Luxembourg. This dual-location structure is designed to optimize its operational and tax efficiency across European and global markets.

The company is guided by its co-founder and CEO, Daniel Ek, a figure frequently recognized by publications like Billboard as one of the most influential people in the music industry. The company's board of directors is a group of eleven individuals with a wide array of expertise, ensuring comprehensive strategic leadership and governance. Key members include co-founders Daniel Ek (CEO) and Martin Lorentzon, and directors with backgrounds spanning finance and executive leadership (Marshall, McCarthy, Staggs), product and technology (Mehrotra, Warrior), consumer brand and retail (O'Neill), entertainment and content (Sarandos), and public policy (Sutphen). This composition is designed to effectively oversee global operations, financial health, content strategy, technological advancement, and regulatory compliance.

1.5 Mergers & Acquisitions Strategy

Spotify's M&A strategy has evolved through distinct phases, each tied to a specific corporate goal, moving from securing talent and technology to dominating content verticals.

1.5.1 Early Acquisitions: Talent and Engagement

The initial phase focused on essential foundational elements to improve the core product and secure vital talent:

- ❖ **Talent Acquisition (uTorrent):** one of the earliest acquisitions was not for the product itself, but to integrate a skilled engineer from the torrent client service, demonstrating an early priority on human capital;
- ❖ **Soundwave (2012):** this Dublin-based social network application was acquired to enhance the platform's community features and deepen user engagement around music discovery;
- ❖ **The Cord Project (2014):** focused on mobile messaging services, this acquisition was an early signal of Spotify's interest in integrating communication and media consumption.

1.5.2 Strategic Pivot: Podcast Dominance

The most aggressive and transformative M&A strategy began around 2019, signaling a clear, multi-million dollar commitment to securing dominance in the podcast sector:

- ❖ **Gimlet Media (2019):** a major podcast production company, this acquisition gave Spotify an immediate, high-quality, in-house content production studio, similar to Netflix for audio;
- ❖ **Anchor (2019):** Anchor, a leading platform for podcast creation, hosting, and monetization, provided Spotify with the necessary technology to regularize content creation and capture the long tail of independent podcasters;
- ❖ **The Ringer (2020):** this acquisition of a leading sports and pop culture network further solidified its hold on high-value, exclusive spoken-word content;
- ❖ **Content Regulation and Audiobooks (2022):** the ongoing strategy includes the purchase of firms involved in audiobook technology and tools for regulating online content. The latter became crucial for managing the reputational risk associated with controversial podcasts.

This sustained and expensive M&A campaign underscores the company's commitment to mitigating competition and capturing user time across all forms of digital audio, ensuring that its technological assets constantly evolve.

1.6 Patents and Technological Assets

Spotify's competitive advantage is built upon its significant technological assets, which include its interactive streaming technology and proprietary algorithms. The company's innovative approach to technology was a key factor in its initial success:

- ❖ **Interactive Streaming Engine:** the core technological breakthrough was the development of a low-latency, highly stable streaming engine that could deliver on-demand playback instantly. This was the feature that fundamentally differentiated Spotify from non-interactive, radio-style services;
- ❖ **Proprietary Recommendation Algorithms:** Spotify's algorithms are considered its most valuable intellectual property. These sophisticated algorithms analyze comprehensive user behavior data, including skips, replays, time of day, and social sharing, to generate hyper-personalized content recommendations. This capability is crucial for driving user engagement and loyalty and is frequently recognized as superior to competing platforms' algorithms. To further enhance discoverability, Spotify introduced an integration with ChatGPT, enabling users to receive personalized music and podcast recommendations through that interface. With existing integrations across more than 2,000 devices, this initiative makes it even simpler for listeners to find their next favorite track, playlist, or podcast;
- ❖ **Scalable Infrastructure:** to manage a global user base of hundreds of millions and a library growing by thousands of songs daily, Spotify operates a highly distributed, cloud-based infrastructure. This system is designed for massive scalability, ensuring continuous service delivery across all supported devices;

- ❖ **Complex Rights Management System:** one of the less visible but most vital technological assets is the system that manages the intricate network of licensing agreements. This technology is responsible for tracking every single stream globally and calculating the precise fractional royalties owed to thousands of individual rights holders, publishers, and labels according to the terms of the 70% revenue share model.

The continuous acquisition of companies in the audio space means Spotify is constantly integrating new technological patents related to podcast creation, dynamic ad insertion, and audio data analytics, securing its technological advantage in the rapidly evolving digital audio marketplace.

CHAPTER II: MARKET

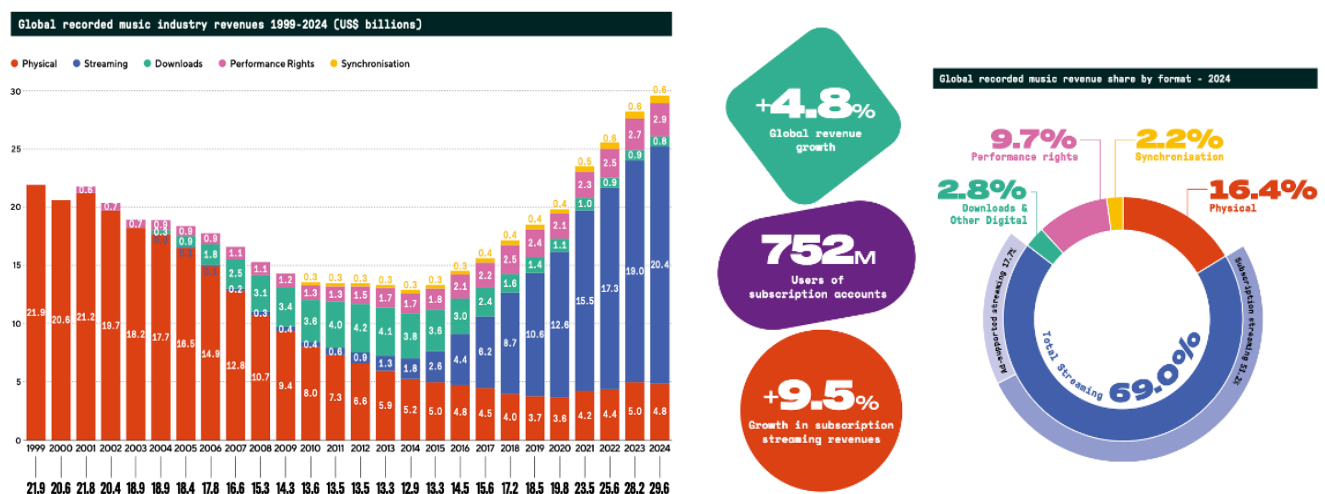
2.1 From physical format to streaming: industry transformation and Spotify's role

Music consumption has fundamentally evolved from a transactional ownership model to a digital access economy. Historically, the industry relied on physical formats: vinyl established domestic high-quality listening, cassettes introduced portability, and CDs consolidated digital sound. This traditional model peaked in the 1980s and 1990s, characterized by high sales and centralized industry control.

The 2000s disrupted this equilibrium through the rise of MP3s and peer-to-peer (P2P) platforms (e.g., Napster). This era introduced instantaneous distribution and modular, playlist-based consumption. While hardware like the iPod accelerated digitalization, the underlying logic remained one of ownership through local storage.

The definitive paradigm shift occurred in the late 2000s with the emergence of streaming platforms like Spotify. This transition replaced purchasing individual tracks with an access-based service model, where users pay for entry to a vast, cloud-based library. In this new landscape, music is treated as a service, available across multiple devices, emphasizing access over ownership. Algorithmic recommendations and editorial playlists have replaced the album as the primary unit of consumption, highlighting curation over collection. Furthermore, revenue is no longer generated per-copy, which has redefined the economic relationship between platforms, labels, and artists, raising ongoing debates regarding fair compensation and economic realignment.

According to IFPI's Global Music Report 2025, streaming is now the cornerstone of the global music economy, representing over 67% of total revenues with a market value of \$29.6 billion in 2024 (a 4.8% increase YoY). Conversely, traditional physical formats (CDs and vinyl) have declined to just 16.4% of the market, confirming the consolidation of streaming as the dominant mode of consumption.



Spotify emerged as the definitive solution to the music industry's digital crisis by harmonizing consumer demand for instant access with a legally licensed and scalable framework. Unlike the disruptive peer-to-peer networks of the early 2000s, Spotify aligned the interests of rights holders with user convenience, successfully reconciling the need for a sustainable business model with the evolution of digital behavior.

The company's leadership was consolidated through an aggressive strategy of geographic expansion and local adaptation. While initially dominant in Europe and North America, Spotify achieved significant growth in emerging markets such as Latin America and Asia by implementing tailored pricing strategies and regional partnerships. This approach allowed the platform to become a global model for the internationalization of digital cultural industries, where the premium subscription tier, despite the high volume of free users, now serves as the primary economic engine, generating approximately 87% of the company's total revenue.

From an economic perspective, Spotify has fundamentally redefined the logic of value creation in music. Whereas traditional record companies relied on high margins from physical sales, the streaming paradigm operates on a revenue-sharing model characterized by high volume and thinner profit margins. Currently, Spotify remits roughly 70% of its total income to rights holders, including record labels, publishers, and distributors. Per-stream payouts, which average between \$0.003 and \$0.005 depending on territory and contractual terms, underscore the centrality of streaming as the dominant revenue source for the contemporary market.

Despite this revolutionary impact on monetization, the platform remains at the center of ongoing debates regarding fair compensation. The financial return for artists remains heavily dependent on their specific agreements with intermediaries, and the high number of streams required to generate substantial income continues to spark criticism from the creative community. As streaming continues to dominate global listening habits, Spotify's evolving approach to artist remuneration and user monetization will remain a defining force in shaping the future of the global audio economy.

2.2 The Competitive Landscape

The music-streaming sector has evolved into one of the fastest-growing segments of the global entertainment industry, shaped by rapid digitalization and intensifying competition. The global market, valued at USD 46.66 billion in 2024, is projected to reach USD 108.39 billion by 2030, growing at a compound annual growth rate (CAGR) of 14.9%. Regionally, North America represented over 33% of global revenues in 2024, though emerging markets in Asia-Pacific and Latin America are expected to drive the highest growth rates over the coming years.

Within this highly consolidated and mature market, Spotify competes with several global players that collectively dictate industry trends and drive innovation in subscription models and user experience. The key players operating in the global music streaming market are:

- Spotify
- Apple Music
- Tencent Music Entertainment (TME)
- NetEase Cloud Music
- Youtube Music
- Amazon Music

These companies redefine the boundaries of the industry through diverse content strategies and technological advancements. Below is a detailed examination of how these leading entities operate within the global landscape.

2.2.1 Spotify

As a global leader, Spotify provides access to millions of tracks and podcast episodes across multiple devices. Its strength lies in advanced personalization, allowing users to discover music through proprietary algorithms and curated editorial content. While managing global operations, the company maintains a dual structure, such as Spotify USA, Inc., to specifically address the needs of the North American market while ensuring a unified global presence.

2.2.2 Apple Music

Apple Music operates as a premium, subscription-based service, offering a catalog of over 100 million songs without an ad-supported tier. It emphasizes high-fidelity audio through Spatial and Lossless playback and is deeply integrated into the Apple hardware ecosystem. Recent expansions, such as specialized live radio stations, demonstrate a commitment to original curated content aimed at diverse global audiences.

2.2.3 Tencent Music Entertainment (TME)

TME is the dominant force in China, operating a multi-app ecosystem including QQ Music and WeSing. Its model blends traditional streaming with social entertainment, such as virtual karaoke and live performances. By leveraging technology to support artist monetization and interactive user engagement, TME has created a unique social-driven music environment.

2.2.4 NetEase Cloud Music

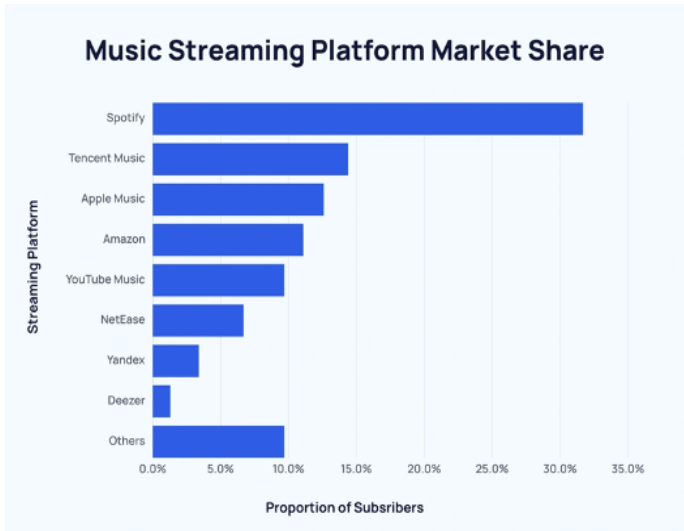
As the principal challenger in the Chinese market, NetEase Cloud Music focuses on building a highly interactive community. It differentiates itself through social networking features and a strong emphasis on independent musicians. The platform’s growth is increasingly driven by social entertainment services, reflecting a trend where community engagement is central to the business model.

2.2.5 YouTube Music

Developed by Google, YouTube Music leverages the vast video ecosystem of its parent company to offer a multimedia experience. By combining official audio tracks with music videos and live performances, it provides a level of visual integration unique to the sector. Its primary advantage is the seamless synchronization with the broader Alphabet/Google services environment.

2.2.6 Amazon Music

Amazon Music utilizes its parent company's retail and hardware ecosystem to capture market share, particularly through Prime memberships and Alexa integration. Recently, the platform has intensified its focus on artificial intelligence, introducing tools like the "Maestro" playlist generator and AI-generated podcast tags to enhance personalization and maintain user loyalty within the Amazon ecosystem.



STREAMING PLATFORM	PROPORTION OF SUBSCRIBERS
Spotify	31.7%
Tencent Music	14.4%
Apple Music	12.6%
Amazon	11.1%
YouTube Music	9.7%
NetEase	6.7%

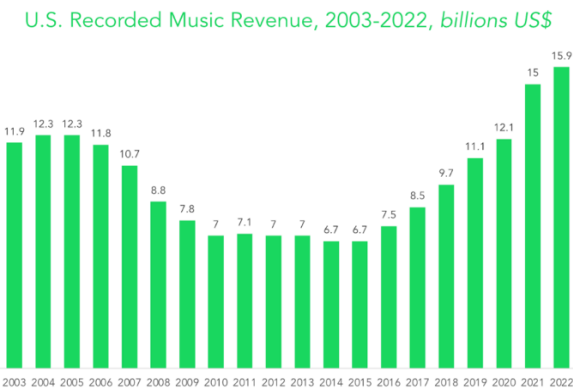
2.3 SWOT Analysis

This SWOT analysis explores both the internal and external environment in which Spotify operates. It evaluates the company’s key strengths and weaknesses, as well as the opportunities and threats present in its competitive landscape. The analysis highlights how Spotify has leveraged its internal capabilities and external market opportunities to sustain growth and maintain resilience within an increasingly dynamic and competitive industry.

STRENGTHS	WEAKNESSES	OPPORTUNITIES	THREATS
1. Music industry disruptor 2. Expansive music library catering to every type of user 3. Extensive application of technology portfolio 4. Highly effective localized pricing strategy 5. Effective distribution channels 6. Established partnerships with a wide range of artists and label distributors 7. Enabled by its portfolio of acquisitions	1. Limited revenue streams 2. Lack of competitive differentiation 3. Long history of unprofitability 4. Royalty fees that are lower than competitors'	1. Focusing on emerging markets 2. Expanding business segments 3. Publishing original and/or exclusive content 4. Venturing into new content verticals	1. Highly competitive music streaming market 2. Emerging alternatives, particularly in the Web3 space 3. Consumers' ever-shifting media consumption behavior 4. Vulnerability to persistent piracy 5. Changes in the regulatory environment

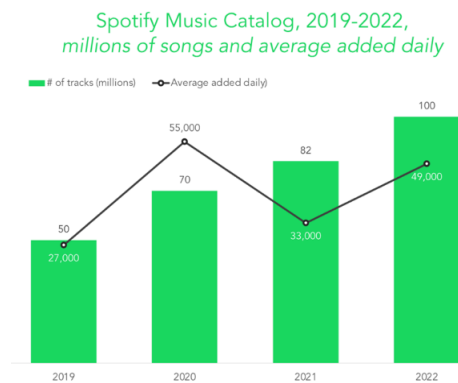
2.3.1. Strengths

a. Music industry disruptor



In the early 2000s, the music industry faced a deep crisis as physical sales declined and digital formats like MP3s spread widely. The rise of peer-to-peer platforms increased music piracy, causing U.S. revenues to fall sharply between 1999 and 2015. Spotify emerged as a response, introducing an on-demand streaming model that offered a legal alternative to illegal downloading. Although this shift accelerated the decline of physical formats, it revitalised the industry, which recovered by 2022. Through subscription and freemium models, Spotify democratised access to music and reshaped how audiences engage with it in the digital age.

b. Expansive music library catering to every type of users



Spotify's catalogue has expanded significantly, surpassing 100 million tracks by 2022. The platform continues to grow rapidly and, since introducing podcasts, has diversified into a comprehensive audio ecosystem. Its success depends not only on content volume but also on editorial and algorithmic curation, which supports music discovery. This personalized approach improves the listening experience and increases visibility and opportunities for independent musicians.

c. Expansive application of technology portfolio

Since its foundation, Spotify has placed research and technological innovation at the core of its growth. Leveraging cloud computing and mobile connectivity, it launched its music-streaming platform and later expanded its use of data analytics and machine learning to deliver personalized recommendations. Through Spotify for Artists, creators access anonymised audience insights to support engagement strategies. In 2023, Spotify reinforced its innovative focus with the launch of the AI-powered DJ, which curates music and offers spoken commentary to recreate a personalized radio (like experience through Artificial Intelligence).

d. Highly effective localized pricing strategy

Spotify Prices Globally, as of 01 January 2023

Least Expensive			Most Expensive		
Rank	Country	Price per day	Rank	Country	Price per day
1	India	\$0.085	1	Switzerland	\$0.75
2	Bangladesh	\$0.096	2	Liechtenstein	\$0.70
3	Vietnam	\$0.098	3	United Kingdom	\$0.68
4	Philippines	\$0.13	4	Iceland	\$0.67
5	Indonesia	\$0.16	5	Finland	\$0.67

Spotify adopts a localised pricing model that adjusts subscription fees to economic conditions across markets, balancing affordability and profitability. While users in higher-priced regions may view this as unfair, the strategy expands Spotify's global reach by improving financial accessibility. By aligning prices with local purchasing power, Spotify also strengthens its competitiveness against both international and regional streaming rivals.

e. Effective distribution channels

To sustain global growth, Spotify has adopted a distribution strategy focused on partnerships and device integration. As organic user acquisition slowed, the company expanded through collaborations, including Spotify for Partners. Telecom partnerships enable bundled offers with mobile plans, while agreements with device manufacturers ensure preinstallation across multiple devices. Together, these collaborations improve accessibility and user convenience.

f. Established partnership with a wide range of artist and label distribution

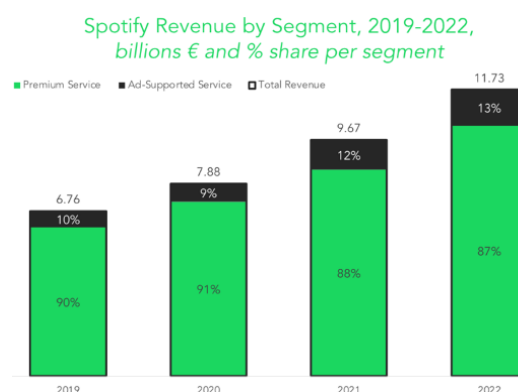
Spotify maintains strong partnerships with artists and rights holders, playing an active role in the creative ecosystem. By the end of 2022, over 9 million artists had released music on the platform. Through Spotify for Artists, creators can self-publish independently and access tools that enhance visibility and engagement. By expanding these resources, Spotify supports the democratisation of music distribution, enabling emerging artists to reach global audiences and strengthening its ties with the artistic community.

g. Enabled by its portfolio of acquisitions

In recent years, Spotify has strengthened its market position through strategic acquisitions aimed at diversifying its services. Key purchases enhanced podcast creation and monetisation (The Ringer, Megaphone), supported expansion into audiobooks (Findaway World), and advanced AI voice technologies (Sonantic Limited). Through these investments, Spotify has evolved from a music streaming service into a comprehensive audio ecosystem.

2.3.2 Weaknesses

a. Limited revenues streams



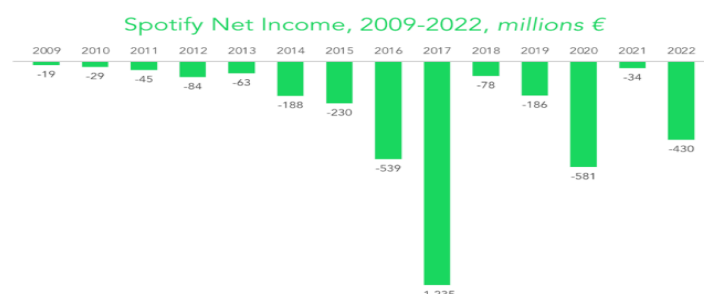
Spotify's business model currently relies on two main revenue streams: Premium subscriptions and ad-supported services. In 2022, Premium accounted for €10.25 billion (87%) of total revenue, while advertising generated €1.48 billion, with both segments growing by over 20% year-on-year.

Despite this steady growth, such limited diversification exposes Spotify to risks associated with market saturation, declining ad spending, or reduced subscriber numbers. To safeguard long-term stability and competitiveness, the company will need to expand its monetisation strategies beyond these two core sources of income.

b. Lack of competitive differentiation

Spotify operates in a highly competitive market with limited service differentiation, where users mainly choose platforms based on price and catalogue size. To stand out, the company invests in enhanced user experiences, often at the expense of profitability. However, if these innovations are not perceived as valuable, users can easily switch to competitors, making competitive pricing and a comprehensive library essential to protect market share.

c. Long history of unprofitability



Despite its dominant position in the global streaming market, Spotify has yet to achieve profitability. In 2022, the company reported a net loss of €430 million, up from €34 million the previous year. A key weakness lies in its cost-intensive business model, with nearly 70% of annual revenue paid to rights holders. Furthermore, high spending on R&D and marketing (25% of total expenses in 2022) adds further pressure on margins. Together, these factors make sustained profitability a persistent challenge for the company.

d. Royalty fees that are lower than competitors'

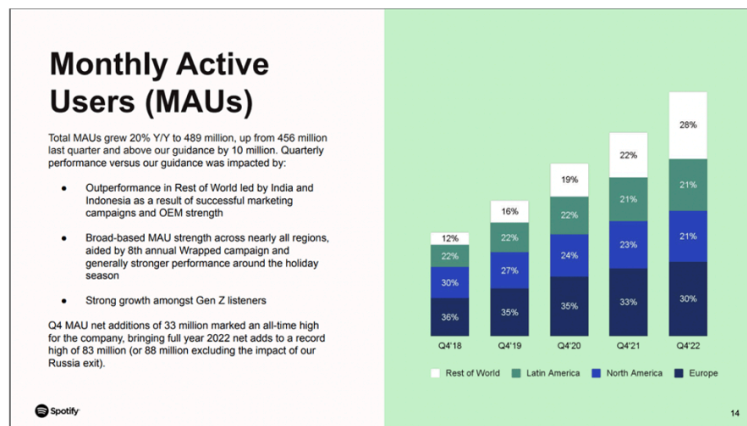
Music Streaming Platform's Estimated Pay per Stream, 2023

Platform	Pay per stream	Streams to reach \$1,000	Platform	Pay per stream	Streams to reach \$1,000
Qobuz	\$0.043	23,255	Deezer	\$0.0064	156,250
Tidal	\$0.013	76,924	Amazon Music	\$0.004	250,000
Apple Music	\$0.01	100,000	Spotify	\$0.0033	303,030
Youtube Music	\$0.008	125,000	Pandora	\$0.0013	769,231

Despite allocating a large share of revenue to royalties, Spotify faces criticism over low artist compensation. With an average payout of about \$0.0033 per stream, artists require over 300,000 streams to earn \$1,000, a lower rate than many competitors offer. This gap has fuelled industry discontent, with some artists calling for fairer pay or withdrawing their music. Spotify's low payouts stem from its streamshare-based royalty model and localised pricing, which link earnings to regional subscription revenues and result in smaller royalty pools in lower-priced markets.

2.3.3 Opportunities

a. Focusing on emerging markets



Spotify is increasingly concentrating on emerging markets as a key engine for future expansion. These regions represent a total addressable market of around 2.7 billion people, nearly five times larger than established markets. While Spotify has already captured 32% of mature markets, its presence in emerging economies remains limited to 8%. The share of users from these regions has grown significantly (from 12% of total MAUs in 2018 to 28% in 2022) yet they still account for only 12% of Premium subscribers. Strengthening Spotify's presence and improving conversion rates in these markets therefore remains essential to sustain its long-term growth trajectory.

b. Expanding business segments

Spotify's continued investment in research and development has strengthened its listening experience and enabled expansion into new formats such as podcasts and audiobooks. Nonetheless, further innovation is needed to retain users, attract new audiences, and diversify revenue sources. Two promising areas for future growth include live music streaming, where Spotify could enhance its existing Spotify Live service by allowing artists to broadcast paid virtual concerts, and music videos, expanding from short looping clips to full-length content.

c. Publishing original and/or exclusive content

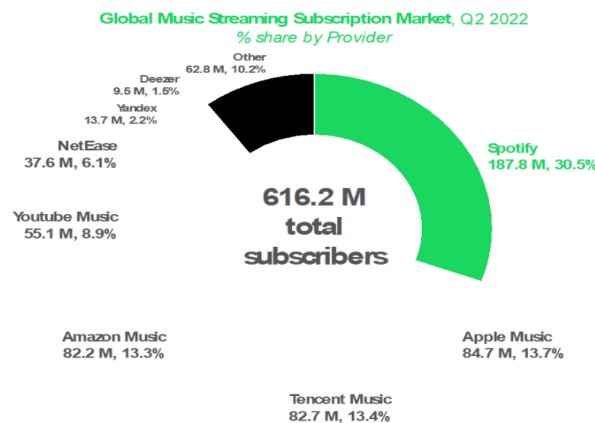
Exclusive content could become a decisive competitive advantage in the music streaming market. To anticipate this trend, Spotify could invest in a dedicated music studio to nurture new talent and produce tracks aligned with audience preferences derived from its data analytics. In parallel, the company could pursue exclusive partnerships with established artists, incentivising them with higher royalties or enhanced platform visibility.

d. Venturing into new content verticals

Spotify has successfully expanded beyond music by introducing podcasts and audiobooks, and further diversification could fuel future growth. The platform could integrate news programs to attract older audiences accustomed to traditional media and enhance its sports offering by adding live audio coverage of sporting events.

2.3.4 Threats

a. Highly competitive music streaming market



Although Spotify holds nearly one-third of the global music streaming market, rising competition requires continued vigilance. Major technology firms, including Apple, Amazon and Google (via YouTube Music), possess strong resources, user bases and brand recognition that could increase their market share. Spotify also faces threats from smaller, agile platforms capable of introducing innovations that may draw users away.

b. Emerging alternatives, particularly in the Web3 space

Beyond traditional competitors, Spotify faces emerging competition from Web3 technologies. Blockchain-based platforms such as Audius, Choon, OPUS, BitSong and Resonate use decentralised models that connect artists directly with audiences, allowing creators to retain all payments. If Web3 adoption accelerates, these platforms could pose a threat, prompting Spotify to consider blockchain-based solutions or partnerships to remain competitive.

c. Consumers' ever-shifting media consumption behavior

Spotify competes not only with major music-streaming services such as Apple Music, Amazon Music and YouTube Music, but also with other digital platforms that capture user attention, including video-streaming services like Netflix, YouTube and Twitch. As users spend more time on these alternatives, demand for music streaming may decline, posing a risk to Spotify's core business. To remain competitive, Spotify must continue innovating to sustain and increase user engagement.

d. Vulnerability to persistent piracy

Although Spotify initially contributed to lowering music piracy, illegal consumption began rising again toward the late 2010s. A major driver of this resurgence is stream ripping, a method that uses third-party tools to extract and download content directly from licensed streaming services. The widespread availability of such tools poses clear risks for Spotify: users may be less inclined to pay for a subscription, and artists may hesitate to publish their work on a platform where content can be easily exploited. To protect its position and reputation, Spotify must continue strengthening its security measures to deter these forms of piracy.

e. Changes in the regulatory environment

Spotify operates in a tightly regulated environment where data protection and intellectual property laws play a crucial role. Because privacy regulations differ across countries, the company must carefully ensure compliance, as violations can lead to lawsuits, significant fines, or even forced suspension of operations. At the same time, Spotify must navigate complex and evolving intellectual property regulations to secure the correct rights from content owners before entering licensing agreements. Any oversight in this area could expose the company to legal conflicts and harm its reputation.

2.4 Investments and strategic partnerships

Spotify's growth strategy combines technological innovation with deliberate investments in alliances, acquisitions, and licensing deals across the audio landscape.

A foundational aspect of Spotify's business model is its comprehensive licensing agreements with leading music rights holders, including Universal Music Group, Sony Music Entertainment, Warner Music Group, and the independent label network Merlin. These long-term contracts enable the platform to offer a vast and varied catalog of music, typically structured around multi-year terms that include financial guarantees, marketing support, and strict reporting standards. Reflecting a broader push for industry transparency, Spotify launched the "Loud & Clear" initiative to share detailed insights into royalty distribution. By 2024, the company reported annual royalty payments exceeding \$10 billion, with cumulative payouts surpassing \$60 billion since its inception.

In late 2024, Spotify introduced a significant change to its royalty system, shifting the focus from sheer content quantity to genuine listener engagement. Under the new rules, tracks that receive fewer than 1,000 streams per year no longer qualify for royalty payouts. The policy aims to redirect earnings toward artists whose music is actively played, reducing the financial drain caused by millions of inactive uploads. At the same time, Spotify strengthened its detection of artificial streaming and low-quality audio, using improved machine-learning tools to identify manipulation or spam content. Together, these actions signal a clear intent to reward authentic creative work and reflect genuine audience interest.

In addition to licensing efforts, Spotify has expanded its footprint through strategic technology and hardware partnerships. Its collaboration with Samsung has ensured pre-installation across multiple

devices since 2018, easing user onboarding. Integration with Meta's platforms enables music sharing and playback, while embedding Spotify into automotive infotainment systems from brands such as Tesla and Volvo has strengthened in-car streaming as a key engagement channel.

Spotify's expansion beyond music has been deliberate and sustained. Between 2019 and 2020, it acquired major podcast companies (Anchor, Gimlet Media, Parcast, and Megaphone), securing control over both creative and technical production. This integration enabled Spotify to manage the full audio pipeline, from creation to monetisation, while offering creators built-in tools for hosting, analytics, and advertising. In recent years, Spotify also expanded into audiobooks by adding 15 hours of monthly listening to its Premium plan, aiming to increase time spent on the platform. Although "Spotify Live" was discontinued, insights from live broadcasting continue to inform new creator-audience formats.

Artificial intelligence has become one of Spotify's most powerful engines for innovation: in 2023, the company launched its AI DJ, a virtual host that combines a synthetic voice with personalized playlists, curating daily sessions that sound conversational and spontaneous; a year later, Spotify introduced an AI playlist tool that lets users describe what they want to hear in natural language, instantly generating tailored selections; more recently, Spotify has tested a multilingual voice translation system for podcasts that recreates a speaker's voice across languages while preserving tone and inflection. All these initiatives show how the company uses AI not only to recommend content, but to personalise the listening experience and expand creators' reach across linguistic and cultural boundaries.

By aligning its licensing approach, platform integration efforts, expanding content formats, and applying advanced AI tools, Spotify has developed a scalable growth strategy. This multi-faceted approach strengthens its technological capabilities, supports creators, and extends the company's influence across the global audio landscape.

2.5 PESTEL analysis of the industry

The PESTEL analysis is a strategic tool used to identify and evaluate the Political, Economic, Social, Technological, Environmental, and Legal factors that influence an organization's external environment. In the case of Spotify, the music and audio streaming industry is deeply shaped by these external dimensions, which collectively define the company's strategic positioning and operating context.

Political and regulatory frameworks significantly shape Spotify's strategic environment, particularly in terms of copyright compliance and platform governance. In the U.S., the Digital Millennium Copyright Act regulates digital content management, while in the EU the General Data Protection Regulation governs data protection. The introduction of the Digital Markets Act in 2024-2025 has altered the relationship between streaming services and dominant app distributors. This regulatory impact is underscored by the European Commission's €1.84 billion fine against Apple, highlighting how regulatory action can affect Spotify's user acquisition and pricing within the iOS ecosystem.

From an economic perspective, Spotify's revenue model relies heavily on maintaining a balance between its free, ad-supported user base and its paying Premium subscribers. Income is derived through

advertisements shown to non-paying users as well as subscription fees collected from Premium accounts. Strategic price increases have supported profit margins in response to rising inflation. Nevertheless, the company's advertising income remains vulnerable to broader economic cycles and fluctuations in corporate marketing expenditures. In response, Spotify has introduced new offerings, such as audiobooks and enhanced podcast monetisation through Megaphone and the Spotify Audience Network, to diversify revenue streams and increase average revenue per user (ARPU).

Social trends play a crucial role in shaping Spotify's user engagement strategies. Shifting consumption patterns among Gen Z and Millennial audiences have transformed how audio content is discovered and enjoyed. These demographics increasingly favour algorithm-driven playlists, mood-based listening, and integration with short-form video content. In response, Spotify has introduced personalized discovery feeds, collaborative playlists, and social features that combine streaming with user sharing. Moreover, its expanding global reach and the rising visibility of non-English-speaking artists highlight Spotify's role as a cultural bridge, connecting diverse audiences and reducing language barriers in music consumption.

Technology remains central to Spotify's strategic advantage in the audio streaming market. Innovations in artificial intelligence, machine learning, and 5G connectivity have significantly improved the platform's content delivery speed, personalization capabilities, and overall user experience. Features such as the AI DJ and AI Playlist highlight Spotify's ability to leverage data-driven insights to enhance listener engagement. Moreover, Spotify's integration with smart speakers, connected vehicles, and wearables has expanded its role in users' daily lives, while also introducing challenges such as artificial streaming, fraudulent uploads, and deep fake audio content. Addressing these risks requires robust content monitoring and advanced security algorithms.

Environmental concerns are becoming increasingly significant for digital platforms such as Spotify. While its main offering is non-physical, the company's operations rely heavily on energy-consuming infrastructure, including global content delivery systems and data centers. In response, Spotify has pledged to achieve carbon neutrality and implement more sustainable operational practices. This includes investing in renewable energy and enhancing the energy efficiency of its streaming technologies. The company's environmental, social, and governance (ESG) initiatives reflect a broader commitment to responsible growth and align with industry-wide efforts to reduce the ecological footprint of digital media services.

From a legal standpoint, Spotify operates within a complex global framework of intellectual property laws and must engage in ongoing negotiations with rights holders to secure content licenses. The 2024 implementation of a minimum 1,000-stream threshold for royalty payments, along with enhanced anti-fraud measures, highlights how evolving legal standards can significantly influence both the platform's financial model and the earnings potential for artists. Regular renegotiations with record labels and music publishers remain a core aspect of Spotify's operations, impacting licensing expenses, content availability, and the pace of international market expansion.

Spotify operates within an external environment defined by shifting regulatory landscapes, economic fluctuations, evolving social behaviors, fast-paced technological advancements, intricate legal frameworks, and increasing emphasis on environmental sustainability. A comprehensive understanding of

these macro-level influences is crucial to evaluating how Spotify refines its strategic approach, not only to sustain its leadership position, but also to drive innovation and influence the direction of the global audio streaming market.

CHAPTER III: FINANCIALS

3.1 Profitability Indicators

Profitability indicators assess Spotify's ability to convert its business model into actual economic value. These ratios measure earnings relative to revenues, assets, equity, and invested capital.

Given Spotify's structural characteristics: high operating leverage, subscription-based recurring revenues, SaaS - like cost structure and significant intangible investments, profitability ratios are fundamental to evaluating:

- ❖ scalability
- ❖ long-term value creation
- ❖ company's progress toward sustainable margins in a competitive digital market

3.1.1 Return on Assets (ROA)

ROA
RETURN ON ASSETS

$$\text{ROA} = \frac{\text{NET INCOME}}{\text{TOTAL ASSETS}}$$

NET INCOME
Final profit after all expenses, interest, and taxes.
Represents the company's true earnings.

TOTAL ASSETS
Everything the company owns and uses to operate:

- cash
- equipment
- licenses
- technology
- intellectual property

The return on assets (ROA) ratio shows how efficiently a company uses its assets to generate profits. It reveals what earnings are generated from invested capital.

A higher ROA means a company is more efficient and productive at managing its balance sheet to generate profits, differently from a lower ROA that indicates there's room for improvement.

The return on assets ratio is calculated by dividing a company's net income by its total assets.

In Euro millions	2020	2021	2022	2023	2024
Net Income	-614	-37	-418	-532	1,138
Total assets	6,326	7,170	7,636	8,346	12,005
ROA	-9.70%	-0.52%	-5.47%	-6.37%	9.48%

The analysis of Spotify's financial performance over the last five years shows a significant transformation in the company's ability to generate economic value from its assets.

The Return on Assets (ROA) highlights a striking shift between the loss-making phase of 2020 - 2023 and the breakthrough achieved in 2024.

For four consecutive years Spotify reported negative net income and a consistently negative ROA:

- ❖ 2020: -9.70%
- ❖ 2021: -0.52%
- ❖ 2022: -5.47%
- ❖ 2023: -6.37%

These results reflect:

- ❖ A business model characterized by high operating leverage, very high variable costs (royalties), initially weak podcast and advertising monetization.
- ❖ A strategic phase in which Spotify intentionally prioritized user growth and market penetration, geographic expansion, major investment in the podcast ecosystem and long-term product development over short-term profitability.

Within this context, negative ROA is fully aligned with the typical early - stage pattern of digital platforms: users scale faster than profits, while assets and fixed costs accumulate.

The year 2024 represents a clear structural break in Spotify's financial trajectory, in fact the Net income reaches €1,138 billion (first significant annual profit in company history) and the ROA jumps to +9.48% (exceptionally strong value for the streaming and digital media industry).

This reversal is explained by several key drivers:

- ❖ **Improved monetization:** multiple subscription price increases across major markets, strong growth in Premium revenues and ARPU improvement, growth in advertising, especially podcast and video ads.
- ❖ **Cost discipline and operational efficiency:** reduction in personnel and overhead costs, rationalization of the podcast strategy (fewer expensive exclusive deals), more efficient management of music licensing through marketplace tools.
- ❖ **Economies of scale:** many of Spotify's costs are fixed: as users grow, margins expand, the business model increasingly resembles a SaaS-like audio platform.

As a result, the positive ROA shows that Spotify has finally begun generating meaningful economic returns on its accumulated assets and long-term investments.

3.1.2 Return on Equity (ROE)

$$\text{ROE} = \frac{\text{NET INCOME}}{\text{EQUITY}}$$

NET INCOME
Final profit after all expenses, interest, and taxes.
Represents the company's true earnings

EQUITY
Value of shareholder funds invested in the company
• Assets minus liabilities

Return on equity, ROE is a measure of a company's financial performance. Because shareholders' equity is equal to a company's assets minus its debt, ROE is a way of showing a company's return on net assets. Return on equity is considered a gauge of a corporation's profitability and how efficiently it generates those profits.

The higher the ROE, the more efficient a company's management is at generating income and growth from its equity financing.

It is calculated by dividing net income by shareholders' equity.

In Euro millions	2020	2021	2022	2023	2024
Net Income	-614	-37	-418	-532	1,138
Shareholders' Equity	2,963	2,318	2,339	2,523	5,529
ROE	-20.72%	-1.59%	-17.87%	-21.08%	20.58%

An analysis of Spotify's Return on Equity (ROE) across the 2020 - 2024 period highlights the company's shift from a loss-making growth phase to a stage of genuine shareholder value creation.

Between 2020 and 2023, Spotify consistently recorded negative ROE, with values of:

- ❖ -20.72% in 2020
- ❖ -1.59% in 2021
- ❖ -17.87% in 2022
- ❖ -21.09% in 2023

These negative returns stem directly from the company's net losses during these years (ranging from -€614 million in 2020 to -€532 million in 2023) combined with relatively modest equity levels (between €2,318 billion and €2,963 billion).

Spotify was prioritizing user growth, technology development, content acquisition and geographic expansion rather than short-term profitability. The company's heavy cost structure (especially royalty costs and R&D spending) prevented it from generating positive returns on shareholders' capital.

In 2024, however, Spotify underwent a decisive structural shift.

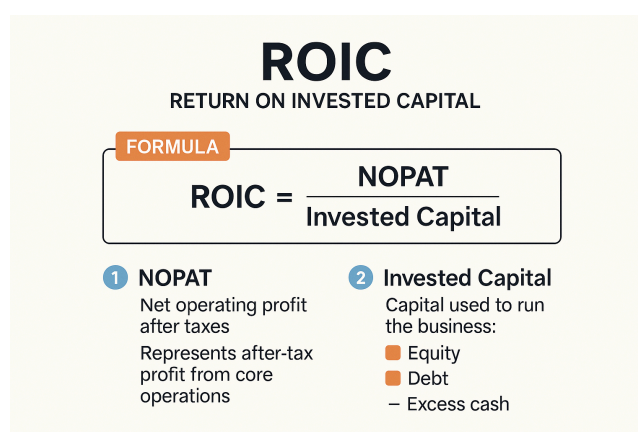
With net income rising to €1,138 billion and shareholders' equity strengthening to €5,529 billion, the ROE sharply rebounded to +20.58% (highest value in the company's history).

This reversal indicates:

- ❖ **Successful monetization improvements:** subscription price increases, higher ARPU, expanded advertising revenues;
- ❖ **Operational efficiency gains:** cost rationalization, more disciplined investment in podcasts and content;
- ❖ **Scalable platform effect:** fixed costs grow more slowly than revenues as user numbers continue to rise.

The positive ROE (above 20%) demonstrates not only a return to profitability, but also the emergence of real shareholder value creation, something that the company had never achieved in its earlier growth years.

3.1.3 Return on Invested Capital (ROIC)



Return on invested capital (ROIC) shows how efficiently a company uses its capital to generate profits.

$$ROIC = \frac{\text{Net Income} - \text{Dividends}}{\text{Debt} + \text{Equity}}$$

ROIC is always calculated as a percentage and is usually expressed as an annualized or trailing 12-month value. It should be compared to a company's cost of capital to determine whether the company is creating value.

If ROIC is greater than a firm's weighted average cost of capital (WACC), the most commonly used cost of capital metric, value is being created, and these firms will trade at a premium.

A common benchmark for evidence of value creation is a return of two percentage points above the firm's cost of capital.

In Euro millions	2020	2021	2022	2023	2024
NOPAT	-288	-81	-657	-111	1158
Invested Capital	3,789	3,321	3,529	3,726	7,064
ROIC	-7.60%	-2.44%	-18.62%	-2.98%	16.39%

An analysis of Spotify's Return on Invested Capital (ROIC) over the 2020 - 2024 period shows a transition from years of operational inefficiency to a strong value-creation phase emerging in 2024. ROIC provides a robust measure of how effectively Spotify converts its operating profit into returns on the capital deployed in its core operations.

Between 2020 and 2023, Spotify repeatedly generated negative ROIC, indicating that the company was unable to earn returns above the cost of the capital invested:

- ❖ -7.60% in 2020
- ❖ -2.44% in 2021
- ❖ -18.62% in 2022
- ❖ -2.98% in 2023

These negative results reflect several structural realities of Spotify's business model during those years: heavy royalty and licensing costs, high R&D spending on AI, personalization, and product development, investments in podcasting and content that did not yet scale and a capital base that expanded faster than operating profitability. As a result, Spotify was consistently destroying economic value, generating returns below zero and well under its estimated cost of capital.

In 2024, Spotify underwent a remarkable financial shift.

In fact the company achieves a positive ROIC of 16.39%, the strongest return in its history.

This sharp improvement signals: a successful monetization strategy; improved cost discipline; platform scalability and a strengthened capital structure.

A ROIC of 16.39% suggests that Spotify is finally generating economic value, not just accounting profits. The return surpasses typical estimates of Spotify's weighted average cost of capital (WACC), indicating that the company has entered a new stage of financial maturity.

3.1.4 Net Profit Margin



Net profit margin (otherwise known as net margin) is a measure of how much profit, or net income, a business generates. Most often, the net profit margin is shown as a percentage but it may also be represented by a decimal.

The net profit margin shows how much of each dollar a business earns actually translates into profit. It's calculated by dividing a company's net income by its total revenue and multiplying that figure by 100.

A business's net profit margin is an important metric for investors to determine the profitability of a company and whether or not the business is a good investment.

Generally, if a business has a growing revenue, but its operating expenses are increasing, its net profit margin will decrease. Maintaining a strong record of increasing profit margins coupled with shrinking expenses may make a business more attractive to prospective investors.

The net profit margin formula is:

$$\text{Net Profit Margin} = \frac{\text{Net Profit}}{\text{Total Revenue}} * 100\%$$

The evolution of Spotify's Net Profit Margin between 2020 and 2024 provides a clear picture of the company's transition from a structurally unprofitable business to a model capable of delivering sustainable earnings.

During the period 2020 - 2023, Spotify consistently reported negative margins:

- ❖ -7.27% in 2020
- ❖ -0.36% in 2021
- ❖ -3.67% in 2022
- ❖ -4.00% in 2023

These figures reflect the same factors that affected ROA and ROE over these years: high royalty and licensing expenses; substantial R&D investment; costs related to scaling the platform and expanding the podcast ecosystem; limited monetization efficiency, especially in advertising

Despite steadily increasing revenues, the company remained unable to convert its top-line growth into net profitability.

In Euro millions	2020	2021	2022	2023	2024
Net Income	-614	-37	-418	-532	1,138
Total Revenue	8,445	10,372	11,383	13,293	15,586
Net Profit Margin	-7.27%	-0.36	-3.67%	-4.00%	7.30%

In 2024, the situation changes dramatically.

With net income of €1.138 billion and revenue of €15.586 billion, Spotify reaches a positive Net Profit Margin of 7.30%, marking the first meaningful profitability in the company's history.

This shift is driven by: Higher subscription prices and ARPU improvement; rapid growth in advertising revenues; cost discipline and reduction in non-core podcast investments and greater operational efficiency thanks to scale effects.

The positive margin clearly shows that Spotify's business model has finally started to generate sustainable economic returns. The company is no longer simply growing its user base; it is now capturing more value from each user and controlling its costs more effectively.

3.1.5 EBIT Margin



EBIT Margin is a financial metric calculated by dividing EBIT by total revenue. Measures operating profit as a percentage of revenue.

The EBIT Margin, or Earnings Before Interest and Taxes Margin, is a key financial metric utilized by small businesses and large corporations alike to evaluate their operational efficiency. This term, often found in the financial statements of businesses, is a measure of a company's profitability before taking into account interest and tax expenses.

The EBIT Margin is a crucial metric for small businesses as it provides insight into the company's operational efficiency. A high EBIT Margin indicates that a company is able to convert a larger portion of its revenue into pre-tax profit, suggesting effective control of costs related to the company's core operations.

On the other hand, a low EBIT Margin may suggest that a company is struggling to control its operational costs or is not generating enough revenue from its core business activities. This could be a warning sign for potential investors or lenders and may warrant further investigation into the company's operations and cost management strategies.

In Euro millions	2020	2021	2022	2023	2024
EBIT	-314	102	-638	-443	1,367
Total Revenue	8,445	10,372	11,383	13,293	15,586
EBIT Margin	-3.71%	0.98%	-5.60%	-3.33	8.77%

Spotify's EBIT Margin between 2020 and 2024 shows a clear transition from a cost-heavy, low-efficiency operating structure to a more disciplined and scalable business model.

The values reveal how effectively Spotify has been able to convert its revenues into operating profit. From 2020 to 2023, Spotify consistently delivered negative or very low EBIT margins:

- ❖ -3.71% in 2020
- ❖ +0.98% in 2021
- ❖ -5.60% in 2022
- ❖ -3.33% in 2023

These results reflect a phase in which Spotify was still heavily investing in platform growth, international expansion, and especially podcasting, a segment that required high upfront content and licensing spending but was not yet generating proportional revenues. Even though revenues were rising year after year, operational efficiency remained low, demonstrating that fixed and variable costs were still absorbing a large portion of income.

In 2024, Spotify reached an EBIT of €1,367 million, supported by revenues of €15,586 million, resulting in an EBIT Margin of 8.77%, the highest level in the company's history.

This improvement signals several strategic and operational developments:

- ❖ Substantial cost discipline
- ❖ Improved monetization
- ❖ Strong scalability

The positive EBIT Margin above 8% indicates that Spotify has entered a new phase where its business model is not only growing but generating operational profit at scale.

3.2 Activity Indicators

Market analysts assess a range of activity measures that reveal how effectively a company converts its assets into revenue. Often described as efficiency indicators, these metrics provide insight into how well a firm manages elements such as inventory and receivables. Activity measures typically encompass areas linked to accounts receivable, inventory movement, asset utilization, and profitability relationships such as return on equity.

These indicators are particularly useful for comparing how efficiently different companies within the same sector operate. Observing these measures over several periods also helps determine whether a firm is improving or declining in its operational performance. In essence, each metric highlights the organization's ability to employ its resources to generate sales. While activity measures are especially valuable for contrasting competing firms, they can likewise be applied to evaluate a single company's financial trajectory across multiple reporting periods. When analyzed over time, these figures help identify patterns and trends, offering a basis for anticipating future performance.

To facilitate analysis, these measures may be grouped into several broad categories:

1. Asset Turnover
2. Fixed Turnover Ratio
3. Receivable Turnover & Days Sales Outstanding
4. Payable Turnover & Days of Payable Outstanding

5. Working in Capital

Having introduced these indicators, they will now be applied to the financial data extracted from Spotify's income statement and balance sheet. More specifically, the analysis will focus on the company's annual reports from 2020 to 2025, in order to provide a comprehensive overview of its operational performance and overall business evolution across recent years.

The financial figures reported by Spotify are presented in millions of euros; conversely, the ratios used in the analysis are dimensionless, as they relate monetary values expressed in the same unit.

3.2.1 Asset Turnover Ratio

The Asset Turnover Ratio indicates how effectively a company utilizes its asset base to generate revenue. It is calculated by dividing total sales by total assets, providing a measure of how well the business converts its resources into output or sales. A lower ratio may suggest that the firm is having difficulty generating sufficient sales relative to the size of its assets.

$$\text{Asset Turnover Ratio} = \frac{\text{Net Sales}}{\text{Total Assets}}$$

Having clarified the theoretical relevance of the asset turnover ratio, we can now proceed to analyze Spotify's reported figures to evaluate its performance over time.

	12/31/2020	12/31/2021	12/31/2022	12/31/2023	12/31/2024
Net sales	7,880	9,668	11,727	13,247	15,673
Total assets	6,326	7,170	7,636	8,346	12,005
Asset Turnover Ratio	1.246	1.349	1.536	1.588	1.306

Spotify shows a progressive improvement in its asset efficiency from 2020 to 2023, followed by a decline in 2024, suggesting that recent investments have grown faster than the company's ability to convert them into sales.

3.2.2 Fixed Turnover Ratio

The Fixed Turnover Ratio is long-term, non-current resources that a company owns and are not directly involved in its everyday operations. They generally include tangible items expected to generate economic benefits over time, such as property, plant and equipment, buildings, land and machinery. This ratio evaluates how effectively a business utilizes these fixed assets to generate revenue.

$$\text{Fixed Turnover Ratio} = \frac{\text{Net Sales}}{\text{Fixed Assets}}$$

$$\text{Fixed Assets} = \text{property and equipment} + \text{lease "right of use" assets}$$

A higher ratio may suggest that the company is operating efficiently with a relatively small fixed-asset base, while a lower ratio can indicate that a substantial amount of capital is tied up in long-term assets. Having outlined the purpose of this indicator, we can now examine how it applies to Spotify's financial data to assess the evolution of its fixed-asset efficiency over recent years.

First, we are going to calculate the denominator of this ratio: the Fixed Assets.

	12/31/2020	12/31/2021	12/31/2022	12/31/2023	12/31/2024
Property and equipment	313	372	348	247	188
Lease right-of-use assets	444	437	417	300	226
Fixed assets	757	809	765	547	414

And then the total indicator.

	12/31/2020	12/31/2021	12/31/2022	12/31/2023	12/31/2024
Net sales	7,880	9,668	11,727	13,247	15,673
Fixed assets	757	809	765	547	414
Fixed Turnover Ratio	10.409	10.714	15.329	24.218	37.857

By analyzing the data, the gradual reduction in Spotify's fixed-asset base, combined with the sharp increase in its fixed-asset turnover, suggests that the company is becoming significantly more efficient at generating revenue from a progressively smaller set of long-term assets.

3.2.3 Receivable turnover & Days Sales Outstanding

The accounts receivable turnover ratio indicates how efficiently a company manages its credit sales and transforms outstanding receivables into cash. A high turnover ratio reflects a company's ability to collect payments quickly, while a low ratio suggests slower collection and potential inefficiencies in credit management. This ratio is closely linked to the "Days Sales Outstanding" (DSO), which complements it by measuring the average number of days required to convert credit sales into cash.

$$\text{Receivable Turnover} = \frac{\text{Net Sales}}{\text{Account Receivables}}$$

$$\text{Days Sales Outstanding} = \frac{365 \text{ days}}{\text{Receivable Turnover}} [\text{days}]$$

With these concepts defined, we can now apply both indicators to Spotify's financial data to evaluate how efficiently the company has managed its receivables over the selected years.

	12/31/2020	12/31/2021	12/31/2022	12/31/2023	12/31/2024
Net sales	7,880	9,668	11,727	13,247	15,673
Account receivable	464	621	690	858	771
Receivable Turnover	16.983	15.568	16.996	15.439	20.328

	12/31/2020	12/31/2021	12/31/2022	12/31/2023	12/31/2024
Receivable turnover	16.983	15.568	16.996	15.439	20.328
Days sales outstanding	21.492	23.446	21.476	23.641	17.956

Fluctuation of Spotify's receivable turnover between 2020 and 2024, together with the corresponding movement in DSO, indicates that the company has maintained generally efficient collection practices, with faster cash conversion in the years where turnover rises and DSO declines, most notably in 2024, when stronger collection efficiency becomes particularly evident.

3.2.4 Payable Turnover & Days of Payables Outstanding

The payable turnover ratio reflects how quickly a company settles its outstanding obligations with suppliers. A low turnover ratio may suggest that the firm benefits from extended credit terms or, alternatively, that it faces difficulties in meeting its obligations. Conversely, a high turnover ratio can indicate that the company is paying suppliers very rapidly, either because it is financially strong or because it aims to take advantage of early-payment incentives.

As with the previous indicator, this ratio is also accompanied by a complementary measure, the Days of Payables Outstanding (DPO), which reflects the average number of days the company takes to settle its obligations with suppliers.

$$\text{Payable Turnover} = \frac{\text{Net Sales}}{\text{Days of Payable Outstanding}}$$

$$\text{Days of Payable Outstanding} = \frac{365}{\text{Payable Turnover}} [\text{days}]$$

Having established the role of these indicators, we can now examine Spotify's payables turnover and DPO values to assess how the company has managed its supplier payments over the selected period.

	12/31/2020	12/31/2021	12/31/2022	12/31/2023	12/31/2024
Net sales	7,880	9,668	11,727	13,247	15,673
Account payable	638	793	845	978	1,342
Payable Turnover	12.351	12.192	13.878	13.545	11.679

	12/31/2020	12/31/2021	12/31/2022	12/31/2023	12/31/2024
Payable turnover	12.351	12.192	13.878	13.545	11.679
Days payable outstanding	29.552	29.938	26.301	26,947	31,253

The evolution of Spotify's payable turnover and DPO between 2020 and 2024 suggests a relatively stable payment behavior, with slight fluctuations over time. Higher DPO values in 2020 and 2024 indicate that the company took longer to settle its obligations in those years, while lower DPO levels in the middle years reflect faster payments consistent with the corresponding increases in payable turnover.

3.2.5 Work in Capital Turnover

Working capital, often referred to as operating capital, represents the difference between a company's current assets and current liabilities. It serves as an essential indicator of short-term financial health, as it reflects the firm's ability to meet its obligations as they fall due. While maintaining a positive level of working capital is crucial for ensuring liquidity and operational stability, excessively high amounts may signal that resources are being tied up in the business instead of being allocated to more productive or strategic uses. Building this concept, the working capital turnover ratio assesses how efficiently a company employs its short-term resources to generate revenue. It illustrates the relationship between net sales and the working capital required to support day-to-day operations. A high turnover ratio indicates that management is effectively using short-term assets and liabilities to sustain sales activity, producing a substantial volume of revenue for each unit of working capital employed. Conversely, a low ratio may suggest that the company is holding disproportionate levels of receivables or other current assets relative to its sales, which can lead to inefficiencies.

$$\text{Work in Capital Turnover} = \frac{\text{Net Sales}}{\text{Current Assets} - \text{Current Liabilities}} = \frac{\text{Net Sales}}{\text{Working Capital}}$$

Where:

$$\text{Current assets} = \text{Trade and other receivables} + \text{Income tax receivables} + \text{Short-term investments} + \text{Cash and cash equivalents} + \text{Other current assets}$$

$$\text{Current liabilities} = \text{Trade and other payables} + \text{Income tax payables} + \text{Deferred revenue} + \text{Accrued expenses and other liabilities} + \text{Provisions} + \text{Derivative liabilities}$$

With these principles established, the following section applies the working capital and its turnover ratio to Spotify's financial data to evaluate how the company has managed its short-term resources over the selected years.

	12/31/2020	12/31/2021	12/31/2022	12/31/2023	12/31/2024
Net sales	7,880	9,668	11,727	13,247	15,673
Current asset	2,366	4,372	4,352	5,260	8,379
Current liabilities	2,900	3,226	3,516	4,090	4,450
Working capital	-534	1,146	836	1,170	3,929
Work in Capital Turnover	Inefficient	8.436	14.028	11.322	3.989

Spotify's working capital turnover shows considerable variation over the period 2020–2024, with a sharp improvement after the negative working capital in 2020, followed by a gradual decline in the most recent years. This trend suggests that, despite growth in current assets, the company has become progressively less efficient at generating revenue from the short-term resources employed to support its operations.

3.3 Liquidity indicators

Liquidity indicators assess whether Spotify can meet its short - term obligations (typically those due within twelve months) using assets that will convert to cash over the same horizon.

In the Q3 2025 Update, Spotify reports:

Current assets:

- ❖ Trade and other receivables: €735 million
- ❖ Income tax receivable: €117 million
- ❖ Short term investments: €3.606 million
- ❖ Cash and cash equivalents: €5.456 million
- ❖ Other current assets: €143 million
- ❖ Total current assets: €10.057 million

Current liabilities:

- ❖ Trade and other payables: €1.193 million

- ❖ Income tax payable: €31 million
- ❖ Deferred revenue: €692 million
- ❖ Accrued expenses and other liabilities: €2.519 million
- ❖ Exchangeable Notes (current portion): €1.741 million
- ❖ Provisions: €50 million
- ❖ Derivative liabilities: €13 million
- ❖ Total current liabilities: €6.239 million

These figures (all in € millions) are the basis for the current, quick and cash ratios below. Note that Spotify has positive working capital of:

$$\text{Working Capital} = \text{Current Assets} - \text{Current Liabilities} = €10.057 - €6.239 = 3.818 \text{ million €}$$

which means short-term assets exceed short-term obligations.

3.3.1 Current Ratio

The current ratio measures a company's ability to cover all of its short-term liabilities with all of its short-term (current) assets. It answers the question:

“If every current liability had to be paid today, would current assets be enough to cover them?”

A value above 1 indicates that current assets exceed current liabilities; higher values generally suggest greater short-term safety, although extremely high values can also indicate idle capital.

$$\text{Current Ratio} = \frac{\text{Total Current Assets}}{\text{Total Current Liabilities}}$$

- ❖ Total current assets: €10.057 million
- ❖ Total current liabilities: €6.239 million

$$\text{Current Ratio} = \frac{10.057}{6.239} = 1,6119 \approx 1,61$$

Spotify has about €1,61 of current assets for every €1 of current liabilities. This indicates a comfortable ability to meet short-term obligations from the pool of all current assets (including receivables, tax receivables, and other current assets).

3.3.2 Quick Ratio

The quick ratio (or “acid - test ratio”) measures a firm's ability to meet short - term obligations without relying on less liquid current assets, such as prepayments and other items that cannot easily be converted to cash.

It focuses on “near - cash” assets (cash, cash equivalents, short-term investments and receivables). For a company like Spotify, which operates with relatively low traditional working capital, this ratio provides a sharper view of short-term solvency than the broad current ratio.

$$\text{Quick Ratio} = \frac{\text{Quick Assets}}{\text{Total Current Liabilities}}$$

- ❖ Total current assets: €10.057 million
- ❖ Other current assets: €143 million
- ❖ Total current liabilities: €6.239 million

where quick assets are:

$$\text{Quick Assets} = \text{Total Current Assets} - \text{Other Current Assets} = 10.057 - 143 = 9.914 \text{ million €}$$

$$\text{Quick Ratio} = \frac{9.914}{6.239} = 1,5890 \approx 1,59$$

Even after excluding “Other current assets” (a proxy for less liquid items such as prepayments), Spotify still has about €1,59 of highly liquid assets for every €1 of current liabilities. The drop from the current ratio (1,61) is modest, which is consistent with a balance sheet that is already heavily composed of cash, short-term investments and receivables.

3.3.3 Cash Ratio

The cash ratio is the most conservative short-term liquidity indicator. It considers only cash, cash equivalents and marketable (short - term) investments in relation to current liabilities.

It answers an extreme stress-test question:

“Could the company pay all of its current liabilities using only cash and immediately realizable securities, without collecting receivables or selling other current assets?”

For a company such as Spotify, which, as you note, carries heavy up-front spending commitments (content licensing, technology and R&D), the cash ratio is especially relevant, because those commitments must be supported by readily available liquidity.

$$\text{Cash Ratio} = \frac{\text{Cash and Cash Equivalents} + \text{Short Term Investments}}{\text{Total Current Liabilities}}$$

Restricted cash is excluded from the numerator because it is not generally available for day - to - day obligation settlement.

- ❖ Cash and cash equivalents: €5.456 million
- ❖ Short term investments: €3.606 million
- ❖ Total current liabilities: €6.239 million

$$\text{Cash Ratio} = \frac{5.456 + 3.606}{6.239} = 1,4525 \approx 1,45$$

Spotify holds about €1.45 in cash and very liquid investments for every €1 of current liabilities. This is a very strong cash ratio: in principle, all short-term obligations could be met using only cash and short-term investments, without relying on receivables or other asset conversions.

3.4 Profitability analysis

These indicators show Spotify's long-term financial health and reliance on external funding.

3.4.1 Debt - to - Assets Ratio

Measures how much of the company's assets are financed by debt.

The debt to asset ratio is computed as:

$$\text{Debt to asset ratio} = \text{Total funded debt} / \text{Total assets}$$

Where the total funded debt is the sum of short term debt and long term debt.

Total assets: 12'005'000€

Total assets	14,689	12,005
--------------	--------	--------

Total debt = exchangeable notes + lease liabilities = 1'539 + 462 = 2'001'000€

Exchangeable Notes	—	1,539
Lease liabilities	444	462

$$\text{Debt to asset ratio} = 2.001.000 / 12.005.000 = 16,67\%$$

A ratio of 0.167 is considered very low. Here is what that implies:

1. **High Solvency:** The company owns nearly 83% of its assets outright (funded by shareholders), while creditors only have a claim on roughly 17%. This makes the company extremely safe from bankruptcy.
2. **Borrowing Power:** Because they aren't "maxed out" on debt, banks would likely be very eager to lend them more money if they needed it for expansion.
3. **Lower Risk, Lower Return:** While safe, a very low ratio can sometimes mean management is being too conservative. They might be missing out on faster growth that could be achieved by borrowing money to invest in new projects (leverage).

In this image we can see the historical values of the debt to asset ratio:

Year	Debt to Asset Ratio
2024	0.17
2023	0.20
2022	0.22
2021	0.25
2020	0.09

3.4.2 Debt - to - Equity Ratio

Shows the balance between debt financing and equity, essential for evaluating Spotify's risk profile. It tells how much debt a company is using to finance its assets relative to the value of its shareholders' equity.

$$\text{Debt to Equity Ratio} = \frac{\text{Total Liabilities}}{\text{Total Shareholders' Equity}}$$

$$\text{Total liabilities at December 30, 2024} = 6'480'000\text{€}$$

Total liabilities	6,910	6,480
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Total shareholders' equity: 5'525'000€

Equity attributable to owners of the parent	7,779	5,525
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$$\text{Debt to equity ratio} = 6'480'000 / 5'525'000 = 1.172$$

The Debt-to-Equity ratio for this company as of December 31, 2024, is roughly 1.17.

This indicates that for every €1 of equity the shareholders have in the company, the company owes €1.17 to creditors. This is generally considered a moderate level of leverage, though its safety depends on the specific industry standards.

Historical values of debt-to-equity ratio:

Year	Debt to equity ratio
2024	1.17
2023	2.31
2022	2.18
2021	2.38

2020	1.26
------	------

3.4.3 Interest Coverage Ratio

Evaluates Spotify's ability to meet interest obligations, important especially after the company increased leverage to fund expansion and content investments.

$$\text{Interest Coverage Ratio} = \frac{\text{EBIT}}{\text{Interest Expense}}$$

EBIT = 1,377 million euros

Interest expense = 36 million euros

$$\text{Interest Coverage Ratio} = \frac{1377}{36} = 38.25$$

A ratio of 38.25 means that for every €1 the company owes in interest, it is generating €38.25 in operating profit.

To understand how high 38.25 is, look at the standard benchmarks used by Wall Street analysts:

- **1.5 or lower:** Danger Zone. The company is struggling to pay its debts.
- **2.0 to 3.0:** Stable. This is considered a "good" healthy minimum for most industries.
- **+ 3.0:** Strong. The company is financially solid.
- **38.25:** Fortress-like. This is far beyond "good", it is typical of cash-rich tech giants (like Apple or Google) or mature companies with very little debt.

While this sounds perfect, a ratio like this might be viewed negatively by investors who might argue the company is playing it too safe and should be reinvesting that excess cash or taking on manageable debt to grow faster.

Historical values of interest coverage ratio

Year	Interest coverage ratio
2024	38.25
2023	-11.7
2022	-11.4
2021	3.7
2020	0.6

3.5 Market Performance Indicators

Market ratios measure how investors value Spotify relative to its financial fundamentals.

3.5.1 Earnings per Share (EPS)

Reflects profitability available to shareholders on a per-share basis.

This ratio tells investors how much profit a company makes for each share of its stock. Higher EPS generally indicates better profitability.

$$EPS = \frac{\text{Net Income}}{\text{Number of Shares}}$$

REFERENCE DATE	EPS VALUE
September 30,2023	0.33 €
September 30,2024	1.49 €
September 30,2025	4.36 €

3.5.2 Price - to - Earnings (P/E) Ratio

Assesses whether Spotify is priced aggressively or conservatively relative to its earnings.

This is a valuation metric that compares a company's current share price to its EPS. A higher P/E ratio suggests investors expect higher future earnings growth, or that the stock is priced aggressively.

$$\frac{P}{E} = \frac{\text{Share Price}}{\text{Earnings per Share}}$$

YEAR	CALCULATION	RESULT
2025	$P/E = \frac{698}{4.36}$	160.09
2024	$P/E = \frac{368}{1.49}$	246.98
2023	$P/E = \frac{154}{0.33}$	466.67

3.5.3 Price - to - Sales (P/S) Ratio

Particularly relevant for Spotify, which historically had negative earnings; evaluates valuation relative to revenue, common in tech and growth industries.

This ratio compares the company's market value to its total revenue. It is useful for valuing companies that may not yet be profitable (having negative earnings), as it focuses on sales.

$$P/S = \frac{\text{Share Price}}{\text{Sales per Share}} \quad \text{or} \quad P/S = \frac{\text{Market Cap}}{\text{Revenue}}$$

where the market cap is calculated as:

$$\text{MARKET CAP} = \text{Price per Share (PPS)} \times \text{Number of Shares}$$

YEAR	CALCULATION	RESULT
2025	$P/S = \frac{\text{SHARE PRICE}}{\text{SALES PER SHARE}}$	31.6
2024	$P/S = \frac{\text{SHARE PRICE}}{\text{SALES PER SHARE}}$	18.09
2023	$P/S = \frac{\text{SHARE PRICE}}{\text{SALES PER SHARE}}$	8.11

3.5.4 Price - to - Cash Flow

Useful in industries where net income may not fully reflect economic performance due to high non-cash expenses. This ratio compares the stock price to the company's operating cash flow per share. It's often considered a more reliable valuation tool than the P/E ratio because cash flow is less easily manipulated by accounting choices (like depreciation, a common non-cash expense) than net income.

$$\frac{P}{CF} = \frac{\text{Share Price}}{\text{Cash flow per Share}}$$

YEAR	CALCULATION	RESULT
2023	$P/CF = \frac{154}{1.083}$	142.198
2024	$P/CF = \frac{368}{3.55}$	103.662
2025	$P/CF = \frac{698}{4.02}$	173.632

3.6 Dividend and Shareholder Distribution Indicators

Even though Spotify does not pay dividends, it is academically correct to include the category with clarification.

3.6.1 Dividend Yield

The Dividend Yield is zero, because Spotify, like many other companies classified as growth stocks in the technology sector, chooses not to distribute dividends because it prioritizes reinvesting 100% of its earnings back into the company. This strategy is driven by the need to fund rapid expansion, invest heavily in new content (podcasts, licensing deals), improve its technology platform (algorithms, user experience), and compete aggressively for market share in new and existing markets against rivals. Distributing cash to shareholders would slow down this essential reinvestment cycle, which is crucial for achieving scale, securing long-term dominance, and ultimately maximizing the future stock price.

3.6.2 Dividend Payout Ratio

The ratio is zero because, as previously seen, Spotify does not pay dividends. Therefore, its total dividends paid are zero, making the ratio zero. However, it is still used as a metric for three reasons:

- ❖ **Explaining Future Shifts:** Including this metric allows the analyst to speculate or explain when and why Spotify might start paying dividends. Analysts can discuss what revenue or profitability milestone the company needs to hit before it might choose a specific payout ratio (e.g., 15% or 20%).
- ❖ **Benchmark for Peers:** Similar to the Dividend Yield, retaining the Payout Ratio ensures comparability with peers (market competitors) that *do* pay dividends, such as mature media or technology firms. This provides a uniform analytical framework.
- ❖ **Future Policy Signal:** Keeping the ratio visible reminds investors that this metric *exists* and will become important once Spotify exits its high-growth phase. The ratio helps define the company's eventual financial maturity strategy.

3.6.3 Share Buyback Activity (if applicable)

A share buyback is a financial maneuver where a company actively repurchases its own stock from the secondary market, executing a transaction that involves the transfer of cash from the company's balance sheet to its shareholders.

3.7 Industry-Specific Indicators for Streaming and Digital Platforms

3.7.1 Subscriber Growth Rate

For a subscription-based business model, the growth rate of the user base is the primary driver of top-line revenue. Spotify distinguishes between Monthly Active Users (MAUs), which represents the total audience size, and Premium Subscribers, who generate recurring revenue.

$$Growth\ Rate = \left(\frac{Current\ Period\ Users - Prior\ Period\ Users}{Prior\ Period\ Users}\right) \times 100$$

1. **Total MAUs:**

$$MAU\ Growth = \left(\frac{713-640}{640}\right)\approx 11\%$$

Monthly Active Users (MAUs) increased by 11%, reaching 713 million as of September 30, 2025, up from 640 million as of September 30, 2024. This growth was driven by continued investment in the Service, including successful consumer marketing campaigns, enhanced content offerings, and product enhancements, all of which contributed to sustained user engagement and customer satisfaction.

	As of September 30		Change	
	2025	2024		
	(in millions, except percentages)			
MAUs	713	640	73	11 %

2. **Premium Subscribers:** Increased from 252 million in 2024 to 281 million in 2025.

$$Premium\ Growth = \left(\frac{281-252}{252}\right)\approx 12\%$$

The growth in Premium Subscribers was driven significantly by the Family Plan and Duo Plan, which were "meaningful contributors" to total gross additions. Additionally, promotional activities such as free trial offers and global campaigns accounted for a significant portion of these additions.

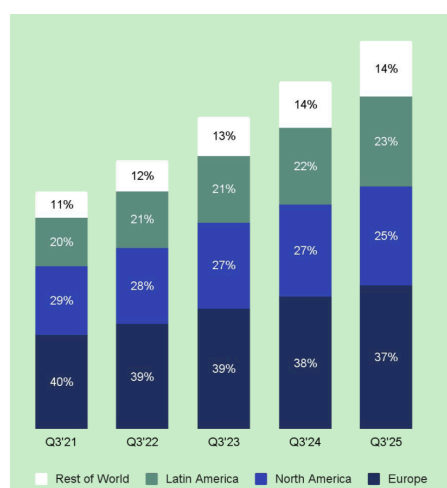
	As of September 30		Change	
	2025	2024		
	(in millions, except percentages)			
Premium Subscribers	281	252	29	12 %

3. **Ad-Supported MAUs:** Increased from 402 million to 446 million, an 11% increase. Similar to the Premium segment, this growth benefited from marketing campaigns and product enhancements.

$$Ad\ Supported\ Growth = \left(\frac{446-402}{402}\right)\approx 11\%$$

	As of September 30			Change
	2025	2024		
	(in millions, except percentages)			
Ad-Supported MAUs	446	402	44	11 %

This metrics confirm the platform's ability to attract new paying users despite market saturation in some regions. The growth was driven by promotional campaigns and strength in markets like Latin America and North America. The company explicitly links growth to trial programs. While trials reduce short-term ARPU, they are the primary funnel for converting ad-supported users into recurring subscribers.



3.7.2 ARPU (Average Revenue per User)

The Average Revenue per User (ARPU) specific to Premium subscribers, is an indicator of the monetization efficiency of the paid user base. It reflects the impact of pricing strategies and the plan mix (e.g., Family versus Individual plans).

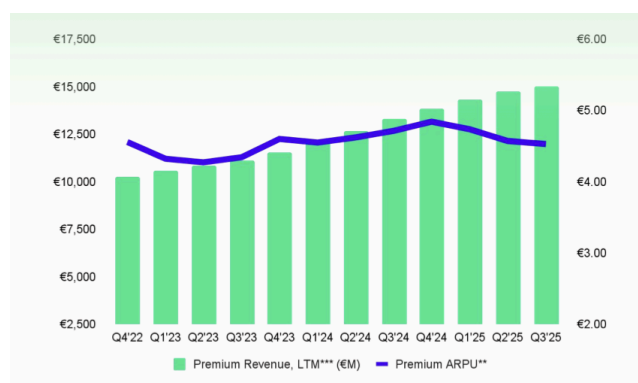
Premium ARPU is a monthly measure calculated as follows: Premium subscription revenue recognized in the indicated quarter is divided by the average daily number of Premium Subscribers in that quarter, and the result is then divided by three months. Premium ARPU is €4.53 in 2025, which represents a 4% Y/Y decline from the previous year.

ARPU decreased due to a combination of internal and external pressures:

- ❖ **Foreign Exchange (FX):** Unfavorable movements in foreign exchange rates negatively impacted ARPU by €0.18.
- ❖ **Product/Market Mix:** Changes in the mix (e.g., selling more Family Plans which have a lower per-head cost, or expanding into lower-ARPU markets) reduced ARPU by €0.14.

These factors were partially offset by Price Increases, which positively added €0.14 to the ARPU.

	Three months ended September 30,				Change	Nine months ended September 30,				Change
	2025	2024	2025	2024		2025	2024	2025	2024	
Premium ARPU	€ 4.53	€ 4.71	€ (0.18)	(4)%		€ 4.61	€ 4.63	€ (0.02)	— %	



3.7.3 Content Cost Ratio

In the streaming industry, the "Cost of Revenue" is predominantly composed of royalties paid to record labels and publishers. The Content Cost Ratio (or conversely, the Gross Margin) indicates how much revenue is retained by the platform after paying for content rights.

Formula:

$$\text{Content Cost Ratio} = \frac{\text{Cost of Revenue}}{\text{Total Revenue}}$$

An analysis of cost efficiency for both segments over the three-month period ending September 30, 2025, can be conducted.

	Three months ended September 30,		Nine months ended September 30,	
	2025	2024	2025	2024
(in € millions)				
Premium				
Revenue	3,826	3,516	11,337	10,114
Cost of revenue	2,557	2,338	7,569	6,906
Gross profit	1,269	1,178	3,768	3,208
Ad-Supported				
Revenue	446	472	1,318	1,317
Cost of revenue	364	410	1,089	1,169
Gross profit	82	62	229	148
Consolidated				
Revenue	4,272	3,988	12,655	11,431
Cost of revenue	2,921	2,748	8,658	8,075
Gross profit	1,351	1,240	3,997	3,356

Premium Segment:

Revenue: €3,826 million.

Cost of Revenue: €2,557 million.

$$\text{Premium Cost Ratio} = \frac{2,557}{3,826} \approx 66.8\%$$

The Premium gross margin decreased slightly from 34% to 33%. This margin compression was primarily due to increases in costs associated with the launch of the Spotify Partner Program and higher audiobook

licensing costs. However, this was partially mitigated by revenue growing faster than music royalty costs and benefits from marketplace programs.

Gross profit and gross margin

	Three months ended September 30,		Change		Nine months ended September 30,		Change	
	2025	2024			2025	2024		
(in € millions, except percentages)								
Gross profit								
Premium	1,269	1,178	91	8 %	3,768	3,208	560	17 %
Ad-Supported	82	62	20	32 %	229	148	81	55 %
Consolidated	1,351	1,240	111	9 %	3,997	3,356	641	19 %
Gross margin								
Premium	33 %	34 %			33 %	32 %		
Ad-Supported	18 %	13 %			17 %	11 %		
Consolidated	32 %	31 %			32 %	29 %		

Ad-Supported Segment:

Revenue: €446 million.

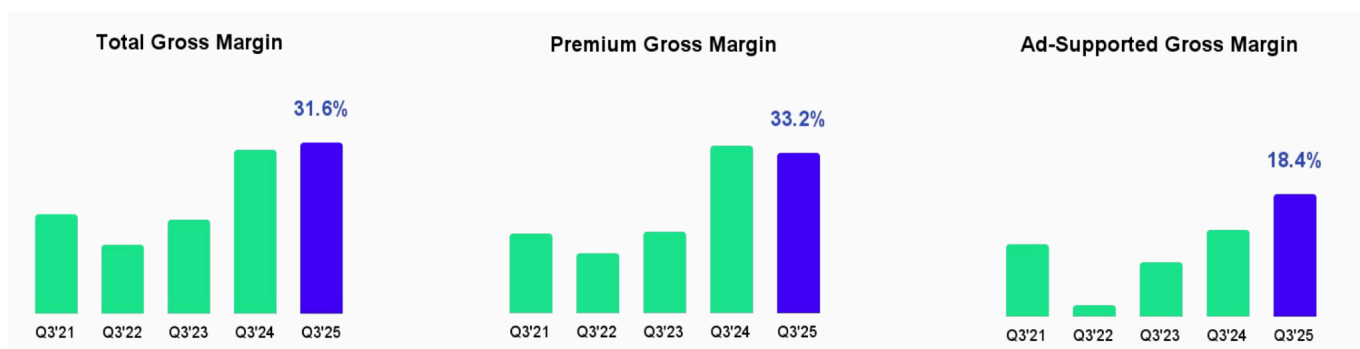
Cost of Revenue: €364 million.

$$\text{AdSupported Cost Ratio} = \frac{364}{446} \approx 81.6\%$$

The Ad-Supported gross margin significantly improved, increasing from 13% to 18%. The primary driver for this efficiency was a **reduction in podcast costs** of €24 million, attributed to the optimization of podcast inventory. Additionally, some costs previously attributed to this segment (video podcasts) were shifted to the Premium segment.

Total Gross Margin: The margin reached 31.6%, representing a year-over-year (Y/Y) expansion of 53 basis points. This positive Y/Y trend was primarily attributable to improvements within the Ad-Supported segment.

Premium Gross Margin: The percentage stood at 33.2%. The year-over-year (Y/Y) trend was primarily due to increases in video podcast costs (including costs previously assigned to the Ad-Supported segment). This was partially counteracted by Revenue growth that exceeded music costs net of marketplace programs and audiobook costs.



3.7.4 Customer Acquisition Cost (CAC)

CAC represents the cost associated with convincing a customer to buy a product/service.

While the exact "Cost per User" is not explicitly stated in the financial statements, the efficiency of Spotify's acquisition strategy can be deconstructed by analyzing the Sales and Marketing (S&M) expense line items and their correlation with subscriber growth.

Spotify's acquisition cost structure is unique due to its royalty-based model. According to the "Component of Operating Results", Sales and Marketing expenses primarily comprise:

- ❖ **Brand & Performance Marketing:** Advertising, public relations, and marketing events.
- ❖ **The "Free Trial" Cost:** A critical and often overlooked component of CAC is the cost of providing free trials. The report clarifies that expenses included in the cost of providing free trials are derived primarily from per user royalty fees determined in accordance with rights holder agreements.
- ❖ For the three months ended September 30, 2025, we observe the following financial inputs regarding acquisition efforts:
- ❖ **Total S&M Spend:** €349 million, representing 8% of total revenue.
- ❖ **YoY Increase:** Expenses increased by €17 million (5%) compared to the same period in 2024.
- ❖ **The "Push" Factor:** This increase was driven primarily by an increase in advertising costs of €22 million specifically for marketing campaigns. This indicates a deliberate management decision to spend cash to acquire users.
- ❖ **The "Pull" Factor (Social Costs):** The increase in ad spend was partially masked by a €15 million decrease in social costs (payroll taxes) due to share price movements. Without this accounting benefit, the visible cost of acquisition would have been even higher.

Sales and marketing

	Three months ended September 30,			Change (in € millions, except percentages)	Nine months ended September 30,			Change
	2025	2024			2025	2024		
Sales and marketing	349	332	17	5 %	1,027	999	28	3 %
As a percentage of revenue	8 %	8 %			8 %	9 %		

3.7.5 R&D Intensity

For digital platforms, continuous investment in the user interface (UI), algorithms, and new formats is necessary to prevent churn. R&D Intensity measures how much of the revenue is reinvested into innovation.

$$R\&D\ Intensity = \left(\frac{Research\ and\ Development\ Expense}{Total\ Revenue} \right) * 100$$

- ❖ **R&D Expense:** €309 million for the quarter (Financial Statements, related to Slide 11 context).
- ❖ **Total Revenue:** €4,272 million.
- ❖ **Calculation:**

$$R\&D\ Intensity = \frac{309}{4,272} \approx 7,2\%$$

The report explicitly lists this ratio as 7%, down from 9% in the previous year.

The decrease in R&D expense (€33 million) was not due to a reduction in engineering output or innovation efforts. Instead, it was primarily driven by a €46 million decrease in social costs linked to share price movements. This indicates that the operational commitment to R&D likely remains stable, but the financial accounting cost fluctuates due to external stock market factors.

- ❖ **Analysis:** Investing ~7.2% of revenue into R&D highlights Spotify's commitment to product innovation, such as the development of AI DJ, generative AI tools, and platform enhancements mentioned in the "Product Updates" section.

Research and development

	Three months ended September 30,		Change	Nine months ended September 30,		Change
	2025	2024		2025	2024	
	(in € millions, except percentages)					
Research and development	309	342	(33)	1,103	1,110	(7)
As a percentage of revenue	7 %	9 %	(10)%	9 %	10 %	(1)%

CHAPTER IV: COMPARISON WITH COMPETITORS / INDUSTRY AVERAGE

4.1 Benchmarking with key players

The global music-streaming industry in 2025 features several established platforms offering differing value propositions in terms of user reach, monetization models, audio quality, pricing, and content strategies. This chapter compares six major streaming services: Spotify, Apple Music, Amazon Music, YouTube Music (Alphabet), Tencent Music Entertainment (TME) and NetEase Cloud Music (NCM), using the same uniform set of benchmarks for every platform so the comparisons remain directly comparable and fully grounded in official disclosures.

While Spotify, Apple, and Amazon compete globally, Tencent Music and NetEase Cloud Music operate almost exclusively within the Mainland China ecosystem. Their inclusion in this benchmark is due to their massive scale and influence on global streaming metrics, despite the lack of direct cross-border competition with Spotify.

The benchmarks used are:

- ❖ Market positioning / market share signals
- ❖ User scale (MAU)
- ❖ Paid subscribers
- ❖ Monthly subscription price
- ❖ Audio quality
- ❖ Pricing strategy
- ❖ Competitive focus / differentiation

We've mostly used official company info and press releases for this analysis. All the company numbers, including Spotify's, are from the 2024 fiscal year. Even though we're looking at the 2025 industry landscape, we're sticking with 2024 data because it gives us a consistent, reliable base for comparing things, since a lot of international companies haven't released their full, audited 2025 figures yet. This way, we have a solid, verified starting point for all the financial and strategic comparisons.

4.1.1 Spotify

Spotify is the best-documented global pure-play streaming service in terms of user metrics and investor communications; its public filings and shareholder materials provide a consistent set of scale, revenue and product details that make it a natural benchmark for global comparisons.

The data reported refers to Q4 2024.

- ❖ **Market positioning / Market share signals:** Spotify presents itself as the largest global audio streaming platform in terms of public MAU and disclosed paid subscribers outside China, emphasizing scale, personalization and a freemium to premium conversion funnel.
- ❖ **MAU:** Spotify reported 675 million MAU
- ❖ **Paid subscribers:** Spotify reported 263 million Premium (paid) subscribers

- ❖ **Monthly subscription price:** Spotify uses regional pricing (consumer pages list local prices); the company's investor materials also discuss price/product mix as a lever. Specific country prices vary; the platform markets standard individual Premium plans at prices comparable to the major peers in each market.
Individual plan: 11.99€/month
- ❖ **Audio quality:** In its Q3 2025 shareholder materials Spotify documents the rollout of higher fidelity (lossless) options among 2025 product updates, indicating an explicit product move toward parity on audio fidelity.
As of the end of 2025 spotify audio quality tops out at **Lossless 24-bit / 44.1 kHz**.
- ❖ **Pricing strategy:** Spotify's stated strategy is an ad-supported freemium tier plus a paid Premium tier, with promotional pricing (student, family), test pricing and product/feature experiments to increase conversion and ARPU.
- ❖ **Competitive focus / differentiation:** Spotify emphasises global scale, personalization algorithms, content breadth (music + podcasts + audiobooks) and a monetization mix (ads + subscriptions) as its core competitive assets in official investor commentary.

4.1.2 Apple Music (Apple Inc.)

Apple Music is positioned within Apple's services/ hardware ecosystem and is consistently framed by Apple as a premium, integrated audio service focused on quality and seamless device integration.

- ❖ **Market positioning / Market share signals:** Apple frames Apple Music as part of its Services portfolio and positions it around device integration, editorial curation and audio quality rather than publishing a music-only global market share figure. Apple does not publish a music-only MAU or a discrete, global paid-subscriber number in its standard investor releases; instead Apple reports aggregated Services revenue.
- ❖ **MAU:** Apple does not disclose Apple Music MAU or music-only paid-subscriber totals in its public 2024 - 2025 investor filings; therefore an official MAU figure is not available in Apple materials.
- ❖ **Paid subscribers:** Apple does not publish a standalone Apple Music paid-subscriber headline in its public investor filings (Apple reports Services revenue as an aggregated line)
- ❖ **Monthly subscription price:** Apple publishes country-by-country pricing on its product page; the standard U.S. individual plan is presented at the listed consumer price on Apple's site (with Family and Student tiers and Apple One bundles available).
The price in Italy for an individual plan is 10.99€/month
- ❖ **Audio quality:** Apple officially offers Lossless Audio and Spatial Audio with Dolby Atmos to Apple Music subscribers, included at no additional cost, and documents the technical detail (lossless up to 24-bit/192 kHz) on Apple product and support pages.
- ❖ **Pricing strategy:** Apple's official strategy focuses on premium positioning and ecosystem bundling (Apple One), with device incentives (e.g., trials with device purchases) rather than a freemium ad-supported funnel.
- ❖ **Competitive focus / differentiation:** Apple emphasises audio fidelity, device-level integration (iPhone, iPad, Mac, AirPods, HomePod), and bundled Services as its official differentiators.

4.1.3 Amazon Music (Amazon.com Inc. - Music Unlimited)

Amazon Music leverages Amazon's broader ecosystem (Prime membership, Echo/Alexa devices, retail) to attract and retain music customers. Amazon publishes consumer pricing and product pages and uses Prime bundling as a core distribution and pricing lever.

- ❖ **Market positioning / Market share signals:** Amazon positions Music Unlimited as a major streaming offering, often promoted with Prime - member discounts and device integrations; Amazon includes Music as part of the broader Prime / Services ecosystem in its official communications.
- ❖ **MAU:** Amazon does not publish a music-only MAU in its investor filings; music metrics are reported as part of broader Services / Prime disclosures rather than as an isolated MAU in 2024 - 2025 official filings.
- ❖ **Paid subscribers:** Amazon does not publish a discrete global music-only paid subscriber number in its corporate investor reports.
- ❖ **Monthly subscription price:** Amazon's official consumer pages show pricing for Music Unlimited in Italy at €10.99.
- ❖ **Audio quality:** Amazon Music provides superior audio fidelity through its Ultra HD (up to 3,730 kbps) and HD (up to 850 kbps) options, delivering true lossless, high-resolution sound. Conversely, Spotify's standard "Very High" setting is capped at 320 kbps. While Spotify has introduced a lossless tier offering 24-bit/44.1 kHz FLAC quality, it still lacks the immersive spatial audio support—specifically Dolby Atmos and 360 Reality Audio—that is available on Amazon Music.
- ❖ **Pricing strategy:** Amazon's stated strategy combines Prime bundling, device integrations (Echo / Alexa), HD tier upsells, and promotional offers.
- ❖ **Competitive focus / differentiation:** Amazon stresses convenience and ecosystem tie-ins (Prime perks, Echo device experiences) and aims to capture customers both through bundled value and audio quality tiers.

4.1.4 YouTube Music / YouTube Premium (Alphabet Inc.)

YouTube Music is deeply embedded within the wider YouTube ecosystem, and Alphabet reports YouTube Music and YouTube Premium subscribers together in its official disclosures. The platform leverages YouTube's unique combination of audio, video, and user-generated content, positioning itself differently from traditional audio-only streaming services.

- ❖ **Market positioning / Market share signals:** Music streaming represents the majority of global music revenue; YouTube Music is among the key platforms with an estimated ~9.7% market share within the streaming sector and ranks as the 5th largest music streaming service.
- ❖ **MAU:** YouTube Music does not publicly disclose specific Monthly Active User (MAU) figures; official MAU data are only available for the overall YouTube platform, which counts over 2.7 billion MAU. Any reported MAU estimates for YouTube Music come from third-party analytics without confirmation from the company.

- ❖ **Paid subscribers:** As of 2024, YouTube Music and YouTube Premium together exceed 125 million paid subscribers worldwide (including trial users), having grown at an average rate of around 2 million new paid subscribers per month over the 2023–2024 period.
- ❖ **Monthly subscription price:** According to the official YouTube Music Premium page, the service offers three monthly subscription plans: the Individual plan at €10.99 per month, the Family plan at €17.99 per month (for up to six household members), and the Student plan at €5.99 per month. All plans include a 1-month free trial for eligible new subscribers.
- ❖ **Audio quality:** According to TuneCable, YouTube Music offers several audio quality levels: Low at around 48 kbps, Normal up to about 128 kbps, and High up to 256 kbps using AAC or Opus codecs. Premium users can also enable the “Always High” setting to maintain the maximum quality even with a poor network connection. The service does not support lossless or hi-res audio formats.
- ❖ **Pricing strategy:** YouTube Music operates on a subscription-based pricing model with multiple tiers tailored to different customer segments. It offers standalone Music Premium plans at monthly rates, including an individual subscription, a family plan for up to six users, and a discounted student plan. All premium plans include a free trial period for new users. In addition to standalone music subscriptions, users can opt for YouTube Premium, which bundles YouTube Music Premium with ad-free video, download, and background play features. The bundle enhances perceived value by combining music and video services under a single monthly fee
- ❖ **Competitive focus / differentiation:** YouTube Music’s main competitive advantage comes from its integration with the YouTube ecosystem, allowing users to access both official audio releases and music videos in one platform. Additionally, the Premium tier provides ad-free listening, background playback and offline downloads, offering a smoother and more flexible experience compared to the free version.

4.1.5 Tencent Music Entertainment (TME)

Tencent Music operates a multi-app ecosystem in China (QQ Music, Kugou, Kuwo) and reports comprehensive, music-only metrics in its investor releases; this transparency for China makes TME straightforward to compare on scale within the domestic market.

- ❖ **Market positioning / Market share signals:** TME presents itself as China’s leading online music platform, operating across multiple apps and combining streaming with social entertainment services and value-added features in its investor materials. TME is the **second largest music streaming service in the world** by number of paid subscribers, behind only Spotify.
- ❖ **MAU:** TME reported 556 million MAUs for its online music services in its Q4 2024 unaudited financial results, showing a slight decrease of 3.5%, which is intentional and part of the strategy to eliminate low-monetization "casual" users in order to focus on high-quality paying users.
- ❖ **Paid subscribers:** In its FY2024 (4Q24) release, TME reported 121.0 million paying users, which represents a 13.4% increase from the previous year.
- ❖ **Monthly subscription price:** TME does not adopt a "single price" but uses a tiered strategy to increase the Average Revenue Per Paying User (ARPPU), which rose to 11.1 RMB in Q4 2024. Instead of just increasing the base price, TME pushes users towards the more expensive "Super VIP" tier, which offers exclusive benefits. The official prices in China (RMB) are: for **Green**

Diamond (Base VIP), the price is about 15 RMB/month (often on promotion at around 8-10 RMB), which is equivalent to about **\$2.10 / €1.95** in USD/EUR. For **Super VIP (SVIP)**, the cost is about 30-40 RMB/month, equivalent to about **\$4.20 - \$5.60 / €3.90 - €5.20** in USD/EUR.

- ❖ **Audio quality:** it is a key differentiator, especially for paying subscribers (SVIP): Standard (128kbps/320kbps MP3/AAC), Lossless (SQ) FLAC 16-bit (CD Quality), and Hi-Res/Master Quality (Up to 24-bit/192kHz). In 2024, TME introduced "Galaxy Sound" for optimized audio on certain devices and cars.
- ❖ **Pricing strategy:** The strategy focuses on a Multi-Tier Model to maximize Average Revenue Per Paying User (ARPPU). This includes implementing Premium Paywalls, making top-tier content like K-Pop and Jay Chou strictly exclusive to paid subscribers, a different approach from models like Spotify's ad-supported offering. Furthermore, an aggressive tiering strategy introduces a higher-priced "Super VIP" (SVIP) tier, which bundles enhanced features such as Hi-Res audio, priority concert ticketing, and integration with IoT/Car systems. Complementing the subscription model, the company leverages the Fan Economy by offering separate "pay-per-album" digital sales for superstar artists, capitalizing on fans' willingness to purchase multiple copies to directly support their idols.
- ❖ **Competitive focus / differentiation:** Tencent Music Entertainment (TME) outperforms competitors like Spotify through strategic advantages. Its deep integration with WeChat and QQ facilitates superior social sharing. TME offers a massive content library, with over 260 million tracks by late 2024. Crucially, its Fan Economy and Interaction model monetizes user engagement via online karaoke, live streaming, virtual gifts, and fan communities, moving beyond competitors' "listening-only" models. TME is also strategically expanding into the IoT and Auto ecosystem, focusing on premium in-car audio systems for Chinese EVs.

4.1.6 NetEase Cloud Music (NCM / Cloud Music Inc.)

NetEase Cloud Music positions itself as China's music community platform emphasizing discovery, UGC and youth engagement; its official financial releases for FY2024 highlight improving profitability and subscription revenue growth.

- ❖ **Market positioning / Market share signals:** NetEase presents itself as the principal challenger to TME in China, with a focus on social features, playlists and younger users; FY2024 official materials emphasise subscription revenue growth and improved margins.
- ❖ **MAU:** NetEase has previously reported MAU figures (for example in earlier filings it reported online-music MAU figures), but NetEase's FY2024 public release focuses on revenue and profitability improvements rather than re - issuing a consolidated updated MAU headline; the company's filings should be consulted for the latest MAU figure if needed.
- ❖ **Paid subscribers:** NetEase reported 44.12 million paid subscribers at end-2023 (official FY2023 release). In FY2024 results (published Feb 20, 2025) NetEase highlighted subscription revenue growth and improved profitability but did not headline a new paid-subscriber total in that FY2024 press release.
- ❖ **Monthly subscription price:** NetEase reports its subscription revenue and ARPPU trends in RMB in official financial materials: FY2024 results state paid-subscription revenue growth (RMB 4.46 billion subscription revenue in 2024) and commentary about ARPPU dilution / changes.

- ❖ **Audio quality:** NetEase’s public materials emphasise product differentiation through community features and user experience; product pages and investor materials discuss premium tiers but do not centralise a global bitrate / lossless claim in the FY2024 release.
- ❖ **Pricing strategy:** NetEase’s strategy, as described officially, relies on community / UGC engagement, targeted promotions (student offers etc.), and subscription feature rollouts to convert and retain users; FY2024 materials highlight revenue growth and improved profitability from these moves.
- ❖ **Competitive focus / differentiation:** NetEase highlights community, UGC, younger-user engagement and improved subscription monetization as core differentiators in official FY2024 communication.

4.2 Comparison synthesis

Spotify is the clear benchmark across scale and leadership: it has by far the highest market share (31.7%), the only explicitly very large MAU figure (>675M), and the largest paid subscriber base (263M). Compared to the others, Spotify combines dominance in share with the strongest monetization in absolute terms, and it does so with a classic freemium conversion model rather than relying mainly on bundling.

Tencent Music competes most directly with Spotify on a user scale, because it is the only other platform in the table with a similarly large published MAU (556M). However, it trails Spotify substantially in market share and paid subscribers (125.7M vs 263M). Where Tencent differs most is price and structure: it uses a freemium model with an added premium tier (“Super VIP”) and operates at a much lower price level (8 RMB). Relative to Western platforms, Tencent’s strategy appears more segmented and engagement-based rather than centered on one global price point.

Apple Music and Amazon Music sit in the middle and are closer to each other than to Spotify or Tencent. Apple has a slightly higher market share (12.6%) than Amazon (11.1%) and also more paid subscribers (95M vs 75M). The key difference is the business model: Apple is premium-only, while Amazon mixes subscription logic with freemium/bundling dynamics. On audio, both are positioned strongly, but Amazon stands out for the most “technical” specification in the table (lossless up to 24-bit/192 kHz plus spatial audio), whereas Apple is described as lossless/hi-res and competes more through seamless ecosystem integration than through highlighting maximum specs.

YouTube Music is the most ambiguous competitor in pure “music-only” comparison because its 125M subscribers figure includes both YouTube Music and YouTube Premium. Even so, its paid base is comparable to Tencent’s and far above Apple’s and Amazon’s. In market share it remains below Amazon and Apple (9.7%), so its monetization strength is not matched by an equivalent share position. The biggest contrast with the other services is audio: YouTube Music caps at 256 kbps and explicitly lacks lossless/hi-res, while most others (Spotify, Tencent, Apple, Amazon, NetEase) are presented with some form of lossless/hi-res option. In other words, YouTube competes less on audio performance and more on being integrated with a broader platform and premium features.

NetEase is the smallest of the group in market share (6.7%) and paid subscribers (50M), so it is behind the leaders on scale. Compared to Tencent, it is smaller on both MAU visibility (not published here) and paid users, but it shares a similar “social - first” orientation. Relative to Western players, NetEase differs mainly on pricing, its monthly range in RMB is far below the €11 cluster, and on positioning, emphasizing community and interactive features rather than ecosystem bundling (Amazon/Apple/YouTube) or global playlist-driven discovery (Spotify).

Putting the companies side by side, a few direct comparisons emerge clearly. On market leadership and paid scale, Spotify is ahead of everyone. On published MAU scale, Spotify and Tencent are the only two that show very large bases, with Spotify higher. On paid subscribers, Spotify leads; Tencent and YouTube (with bundling caveat) form a strong second tier; Apple and Amazon follow; NetEase is last. On pricing in Europe, Spotify, Apple, Amazon, and YouTube converge around €11, while Tencent and NetEase operate at much lower RMB pricing. On audio quality, Amazon and Apple are positioned most strongly, Tencent and NetEase also claim lossless/hi-res, Spotify is high-quality but without spatial audio in the table, and YouTube Music is clearly the weakest on technical audio. On strategy, Spotify and Tencent/NetEase rely more on freemium-based conversion (with Tencent/NetEase leaning more social), while Apple, Amazon, and YouTube rely more heavily on ecosystem integration and bundling as a competitive lever.

4.3 Performance benchmarks

Index / Platform	Market share	MAU	Monthly price	Audio quality	Paid subscribers	Pricing strategy	Focus / Competitive advantages
Spotify	31.7% (Leader)	> 675 milioni (Q4 2024)	~11.99 EUR	Lossless 24-bit/44.1k Hz FLAC Spatial Audio: No	263 million	freemium revenue model	user data, ecosystem position and playlists
Tencent Music	14.4 % (2° Place)	556 mln	8 RMB (0.97 EUR)	Lossless/Hi-Res	125,7 mln	Freemium + “Super VIP”	Social Ecosystem + Fandom Economy
Apple Music	12.6% (3° Place)	Not published (estimated)	10.99 EUR	Lossless/Hi-res	95 million	Premium-Only model	Ecosystem integration
Amazon Music	11.1% (4° Place)	> 55 milioni (Stimati)	~10.99 EUR	Lossless 24-bit/192kHz.	75 million	Freemium + Subscription (individual /	Ecosystem, designed to keep the user

				Spatial Audio: Yes		family / student markets)	in the “prime-loop”
YouTube Music	9.7% (5° Place)	YouTube Music does not publish official MAU	10.99 EUR	Up to 256 kbps (AAC/OPUS). Low/Normal/High settings; no Lossless or Hi-Res audio	125 millions (YouTube Music and YouTube Premium)	Subscription-based (Individual / Family / Student); standalone Music Premium or bundled via YouTube Premium; free tier (ad-supported)	Integration with YouTube’s platform, access to official tracks and music videos, plus Premium features such as ad-free listening, background play, and offline playback.
NetEase	6.7% (6° Place)	Non Publication (Stimato)	Around ¥15 - ¥25 RMB (approx. €1.82 - €3.03 EUR)	lossless (Hi-Res FLAC)	50 million	Freemium models	strong social community, user-generated content (UGC), highly personalized music discovery via AI, support for independent artists, strategic low pricing, rich interactive features (like lyrics/story sharing, AI singing)

Note: Subscription prices for Spotify, Apple, Amazon, and YouTube refer to the Italian market (EUR), while pricing for Tencent and NetEase refers exclusively to the Chinese market (RMB).

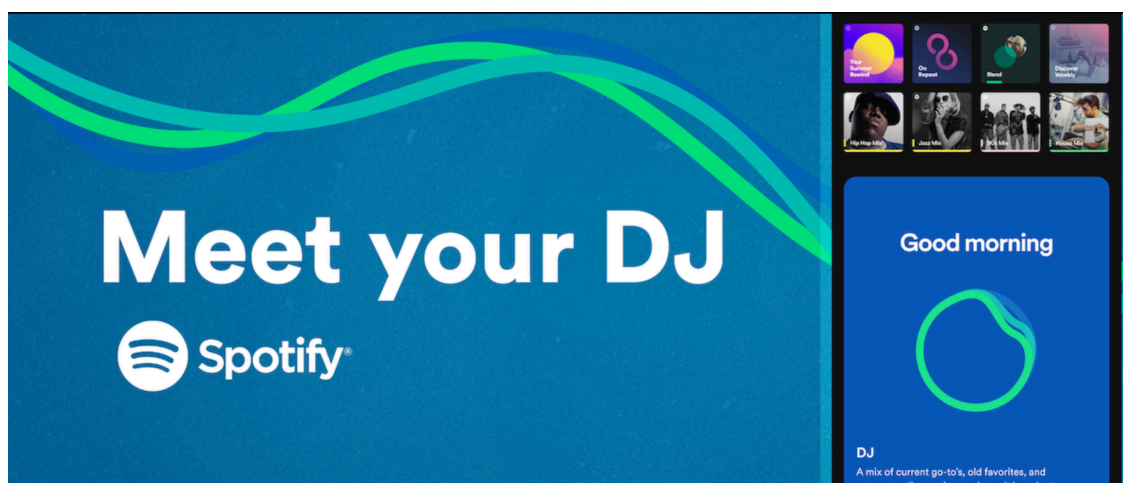
CHAPTER V: FUTURE PERSPECTIVES AND STRATEGIC LEVERS

5.1 Innovation and diversification strategy

Since its foundation, Spotify Technology S.A. has evolved from a purely music streaming platform into a comprehensive audio ecosystem, pursuing an ambitious strategy centered on innovation and diversification. This transition reflects the company's intent to broaden both its product offering and its revenue base, while reinforcing its technological leadership within the global audio industry.

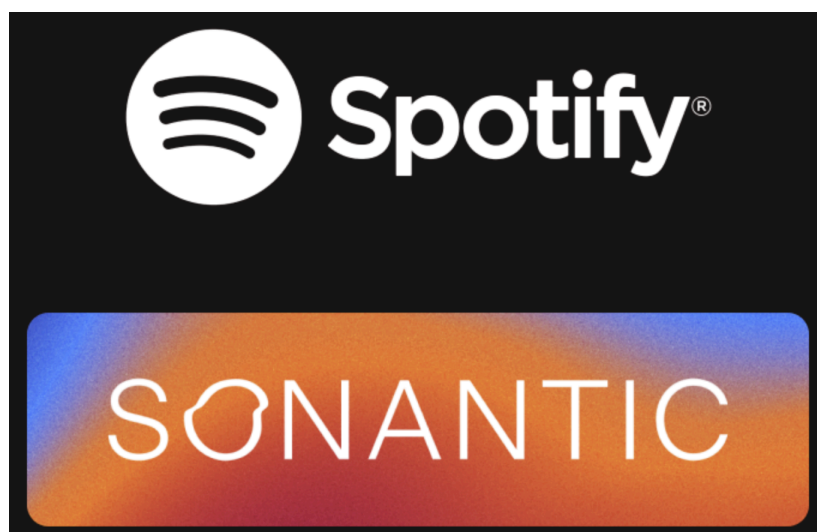
In essence, Spotify's strategy combines the constant refinement of user experience through AI-driven innovation with an expansion of content categories that moves beyond recorded music to include podcasts, audiobooks, and creator services. Together, these pillars are designed to increase user engagement, deepen monetization, and mitigate the structural limits of the traditional streaming model, where music licensing costs weigh heavily on margins.

At the heart of this innovation effort lies Spotify's use of artificial intelligence and personalization technologies, which have long been key to its competitive differentiation. The company's algorithms, trained on billions of user interactions, generate customized recommendations that continuously adapt to individual listening habits. A notable milestone in this direction is the launch of AI DJ in 2023, a feature that combines generative artificial intelligence with human editorial curation to create a dynamic, continuously personalized listening experience. The voice of the AI DJ, built using Sonantic's technology (a company acquired by Spotify in 2022), simulates a natural human narration that comments and adapts in real time to user preferences. This innovation not only demonstrates Spotify's ability to integrate cutting-edge AI into its platform, but also highlights how strategic acquisitions are used to accelerate internal product development.



Parallel to technological innovation, Spotify has undertaken a broad diversification of its content and creator ecosystem. Beginning in 2019, the company initiated a series of acquisitions that marked its shift toward an “audio-first” business model.

This transformation aimed to position Spotify as the world's leading platform for audio creators, not merely a distributor of music.

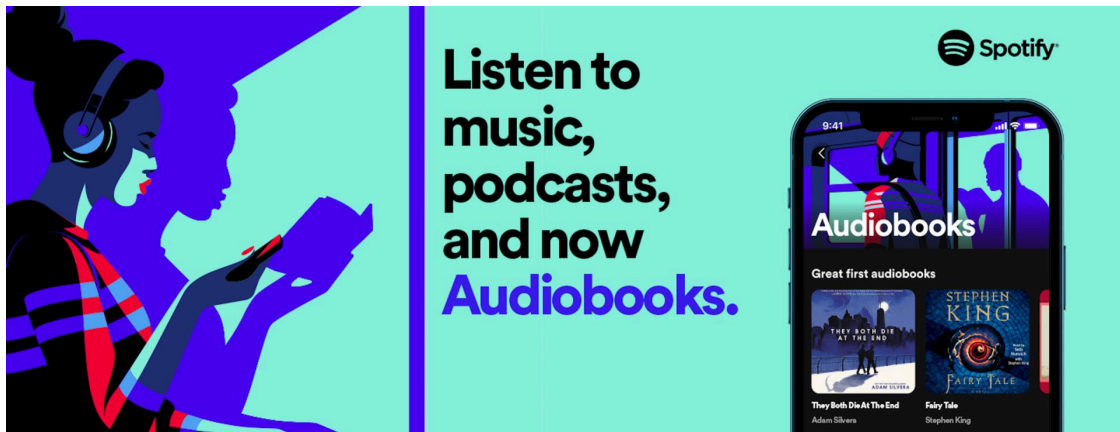


The integration of these studios and publishing tools has enabled Spotify to build a two-sided marketplace: on one side, creators gain access to audiences and monetization instruments; on the other, Spotify strengthens its advertising and subscription-based business models through differentiated content. The result is a platform that not only hosts but empowers the creative process, reducing dependence on record labels and opening the way for more diversified revenue streams.

A more recent and strategically significant development has been Spotify's expansion into the audiobook sector, which represents a natural extension of its mission to become the dominant destination for all forms of audio. Starting from 2023 and accelerating into 2025, Spotify has invested in both technological infrastructure and content production to grow this vertical.

The company has launched initiatives to increase the availability of audiobook titles in multiple languages, while supporting independent authors and publishers through funding programs and dedicated production tools.

In March 2025, Spotify announced a new wave of investments aimed at stimulating audiobook creation in underdeveloped markets, followed a month later by the rollout of its audiobook offering in key European regions such as Germany, Austria, and Switzerland. This move is consistent with the company's broader goal of expanding its addressable market and diversifying monetization models through a mix of direct sales, premium bundles, and subscription add-ons.



From a financial perspective, innovation and diversification converge to expand the monetization potential of the Spotify ecosystem. The integration of personalized AI experiences increases user engagement and listening time, thereby enhancing the value of advertising inventory, especially within podcasts and spoken content formats. Meanwhile, the introduction of new audio products, such as audiobooks and exclusive creator content, offers alternative paths to revenue beyond subscriptions. This hybrid monetization model aims to stabilize Spotify's revenue base and reduce exposure to the cyclical dynamics of music licensing. As noted in the company's investor communications, the long-term ambition is to evolve from a streaming service to a multi-vertical platform capable of generating value from every interaction between listeners, creators, and advertisers.

However, pursuing innovation and diversification in parallel also introduces significant operational and regulatory challenges. The integration of acquired entities requires alignment between technical architectures, data systems, and creative workflows. The adoption of generative AI raises questions related to copyright, voice cloning, and data governance, all of which demand careful oversight to maintain trust among users and creators. Moreover, the expansion into audiobooks and user-generated content brings additional licensing complexities, as rights frameworks differ significantly from those in the recorded music industry. If not properly managed, these challenges could offset some of the economic and strategic benefits of diversification.

Spotify's innovation and diversification strategy represents a coherent and mutually reinforcing trajectory. By combining technological experimentation with content expansion, the company is progressively transforming itself into a comprehensive audio platform capable of capturing value across multiple dimensions of listening. The extent to which Spotify succeeds in this evolution will depend not only on its capacity to innovate but also on its ability to integrate new technologies responsibly, govern intellectual property risks, and sustain creative partnerships at scale. If executed effectively, this dual strategy has the potential to enhance both the resilience and profitability of the company's business model, consolidating its leadership in the global digital audio landscape.

5.2 Geographical expansion

The global ambitions of Spotify Technology S.A. are deeply reflected in its aggressive geographical expansion strategy, which has enabled it to transition from a regional streaming platform into a truly

global audio ecosystem. Beginning in its early years, Spotify focused on mature western markets, but by 2021 it made a landmark leap: launching its service in more than 80 new markets across Asia, Africa, Latin America and the Caribbean, reaching over one billion new potential users in a single sweep.

This bold rollout entailed adapting the product and business model to the specific requirements of each local market. Spotify committed to supporting 36 additional languages and working with local rights-holders, creators and payment systems in each geography so as to deliver a market-sensitive user experience. By doing so, the company sought not only to grow its user base but also to embed itself within local music cultures and creator ecosystems, important for both user adoption and content richness.



Moreover, Spotify continued to refine its market entry strategy beyond the initial expansion. For example, later in 2021 it announced launches in six additional countries such as Iraq, Libya, Tajikistan, Venezuela and the two Congos, extending its footprint further into regions that had previously been underserved. These incremental entries highlight Spotify's willingness to go beyond high-growth markets and address a truly global mosaic of listening audiences.

From a strategic standpoint, this geographical expansion delivers important advantages. First, it enlarges the company's total addressable market (TAM): by accessing regions where streaming penetration was still low, Spotify opens growth opportunities that go beyond saturated Western markets. Second, it facilitates creator and local-content growth: by entering new territories, Spotify can tap into under-represented music and audio cultures such as Afrobeats, Latin urban music or regional language podcasts, that increasingly appeal to global audiences. Third, geographical diversification helps moderate business risks associated with dependence on any single regional market or licensing regime.

However, pursuing global expansion also brings operational and strategic challenges specific to this lever. Local regulatory environments vary widely: content licensing, taxation, data protection and payment infrastructures differ significantly, requiring Spotify to tailor its approach for each market.

Furthermore, monetization models in emerging markets often differ: the freemium model that underpins Spotify's core proposition may face lower conversion rates to paid subscriptions in lower-income countries, thus placing greater weight on ad-supported services. Finally, rolling out in many markets simultaneously requires substantial investment in localization, marketing and partnerships, which can exert pressure on near-term profitability.

Spotify's geographical expansion strategy is critical to its long-term ambition of becoming the dominant global audio platform. By entering new markets, adapting to local demands and layering its global product proposition with localised content and partnerships, Spotify is building structural advantages for user growth and monetisation. Yet, the ultimate success of this lever will depend on how well the company navigates the regional regulatory landscapes, optimises business models in diverse economies and balances expansion costs with monetisation outcomes.

5.3 Sustainability and ESG initiatives

In recent years, Spotify Technology S.A. has placed growing emphasis on its role not only as a commercial audio platform but also as a responsible corporate citizen with obligations toward the environment, social equity, and governance (ESG). The company's approach to sustainability and ESG reflects a dual strategy: first, reducing its internal environmental footprint and enhancing operational responsibility; second, leveraging its platform and content ecosystem to drive positive social impact across creators, users and communities.

On the environmental front, Spotify has committed to achieving net-zero greenhouse gas (GHG) emissions by 2030, a target aligned with its recognition that, although it is a digital platform with limited physical assets, the majority of its emissions come from indirect sources (Scope 3) such as data centres, streaming usage and supply-chain activities.

In its 2024 Equity & Impact Report, Spotify reports a total of 195,027 metric tons CO₂-equivalent in 2024, representing a 31% reduction from the prior year, and highlights a strategic focus on key emission levers, including Product & Technology, Marketing and Global Workplace Services.

Furthermore, Spotify fosters internal engagement via a network of "Climate Champions" across business units and works to embed climate awareness and sustainable practices into daily workflows, from vegan meals to educational modules for engineers, illustrating how operational innovation and employee behaviour combine to support environmental goals.

On the social dimension, Spotify continues to expand its equity and inclusion efforts internally and externally. The 2023 Equity & Impact Report emphasises the company's mission to empower underrepresented voices, support creator and employee well-being, and drive systemic change across the audio industry.

Programs such as "Heart & Soul" for mental-health support, and "Spotify Gives Back" which enables employees (bandmates) to volunteer and donate globally, underline how Spotify combines social-impact initiatives with broader cultural goals. Moreover, Spotify's thematic "EQUAL" initiative supports gender parity and racial equity in music-industry representation, signalling that its creator-ecosystem strategy is intertwined with social justice objectives.

From a governance perspective, Spotify integrates ESG into strategic decision-making and disclosures. Reporting standards are improving and evolving: the company recognises that new regulatory frameworks, such as the EU's Corporate Sustainability Reporting Directive (CSRD), will demand more rigorous sustainability disclosures and organisational maturity in integrating ESG into business operations.

In addition, third-party ratings such as Sustainalytics' ESG Risk Rating provide external validation of Spotify's exposure to and management of industry-specific ESG risks. These governance actions support Spotify's credibility among investors and stakeholders who increasingly view ESG performance as a component of long-term value and risk management.

Spotify's sustainability and ESG initiatives present clear strategic advantages, improving brand legitimacy, reducing regulatory risk and aligning with changing consumer expectations. They also come with substantial execution demands. Achieving net-zero commitments in a digital-platform business raises challenges around energy-intensive data-centres, supply-chain emissions and the intangible nature of user behaviour. Social programs require translation into demonstrable impact while avoiding "green-washing" risks. Governance disclosure must keep pace with evolving frameworks and investor expectations. Success in these areas will strengthen Spotify's platform positioning and stakeholder trust. Failure could expose the company to reputational and regulatory headwinds.

By combining operational environmental reduction, social inclusion programmes and robust governance frameworks, Spotify aims to shape a modern, responsible audio-platform business. For the long-term outlook, these initiatives contribute not only to risk mitigation but also to potential value creation by aligning with broader global shifts in sustainability and digital media consumption.

5.4 Strategic risks and challenges

In pursuing its ambition to become the dominant global audio platform, Spotify Technology S.A. faces a complex landscape of risks and challenges that could materially affect its strategy and performance. Central to this discussion are four interrelated categories of risk: content and licensing, competitive intensity, monetization and advertising volatility, and regulatory and governance exposure.

Firstly, content and licensing risk remains pivotal. Spotify's business model relies heavily on agreements with music labels, publishers, and content owners, and any changes in these relationships could affect cost structures and margins. As the company diversifies into adjacent audio verticals (podcasts, audiobooks, creator tools), it must manage distinct licensing frameworks and rights negotiations different from standard recorded-music licences. For instance, the 2024 Annual Report flags the possibility that "our ability to negotiate favourable terms with rights-holders may decline, increasing our content costs and reducing our margins".

Secondly, competitive pressures are significant and intensifying. Spotify operates in a global market with large-scale competitors such as Apple Music, Amazon Music and YouTube Music, as well as emerging regional players. Some analyses highlight that despite Spotify's scale and innovation, the firm remains vulnerable to pricing pressure, content cost escalation and premium-tier churn. These dynamics could hamper Spotify's ability to raise ARPU or maintain growth momentum in mature markets.

Thirdly, the monetisation and advertising model introduces its own risks. Although Spotify has made progress in ad-supported audio and creator monetisation, it remains exposed to macro-economic

fluctuations in advertiser demand, conversion rates in emerging markets and execution risk in scaling new monetisation engines.

For example, in the Q3 2024 earnings summary, slower growth in ad revenue was flagged as a potential drag on growth, underscoring the risk of relying on ad market recoveries.

Finally, regulatory, governance and data-related risks are gaining prominence. As Spotify expands its global footprint and deepens its reliance on AI-driven features, the company must navigate an evolving regulatory environment concerning data protection, AI governance, content moderation and tax compliance.

The firm's disclosures warn that as a foreign private issuer (incorporated in Luxembourg, with primary operations in Europe and the U.S.), Spotify may face heightened scrutiny and complexity compared to purely domestic peers. Additionally, third-party risk analyses classify legal and regulatory risks as approximately 20 percent of the firm's total risk exposure, signalling the significance of these factors.

Each of these categories of risk is interconnected: for instance, a regulatory change increasing royalty obligations could elevate content cost risk and squeeze margins, which in turn may limit Spotify's ability to invest in product innovation, a key competitive lever. Similarly, a slowdown in advertising demand could undermine Spotify's monetisation model, forcing heavier reliance on subscriptions and increasing pricing risk.

While Spotify is executing a bold innovation and diversification agenda (5.1) and geographic expansion (5.2), these strategic levers must be managed alongside the risks described here. The firm's long-term value creation hinges not only on growth but on how well it mitigates, anticipates and adapts to these challenges. Failure to do so could erode brand strength, weaken financial performance and compromise leadership ambitions.

5.5 Long-term outlook

Looking ahead, Spotify Technology S.A. is at a pivotal juncture where its strategic initiatives in innovation, diversification, geographical expansion and sustainability converge into a broader long-term vision: becoming the leading global audio platform, not just in music, but across all forms of audio content and creator interaction. The company's Q4 2024 shareholder deck emphasised that "looking into 2025, we view the business as well positioned to deliver another year of continued growth and improving margins", a statement that encapsulates both confidence and the recognition of long-term ambition.

Central to the long-term outlook is scale and engagement expansion. With 675 million Monthly Active Users (MAUs) at the end of 2024, up 12 % year-on-year, and 263 million premium subscribers (up 11 % Y/Y), Spotify has achieved significant scale.

The company will aim to deepen engagement through its product innovations (5.1), creator-centric content and new audio verticals, as well as through further geographic penetration (5.2). The logic is straightforward: as users spend more time on the platform and cross-consume music, podcasts, audiobooks and other audio formats, Spotify can unlock higher monetisation per user and strengthen user-stickiness.

Another key dimension of the long-term outlook is monetisation arms expansion. Moving beyond subscription revenue, Spotify is actively developing its ad-supported business, creator monetisation tools and adjacent audio formats such as audiobooks. The transition to multiple monetisation levers is intended to support margin improvement and reduce dependence on traditional music licensing economics. The shareholder deck notes that 2024 was the first full year of profitability, signalling that Spotify has reached a new operational phase where growth and margin improvement can co-exist. This shift sets the stage for long-term value creation by improving ARPU (Average Revenue Per User) and enhancing free-user monetisation.

On the financial front, the long-term outlook is shaped by capital discipline, operating leverage and reinvestment. Spotify's 2024 Free Cash Flow for the year reached €2.3 billion, reflecting strong cash generation capacity. The company emphasises that the next phase will be less about heavy growth investments and more about leveraging existing infrastructure, optimising operating efficiency and reinvesting strategically in high-return areas. This move towards “resourcefulness” (as the CEO puts it) is critical to sustaining profitability while maintaining growth momentum.

In the medium to long term, pricing power and tier evolution are significant strategic levers. As digital audio ecosystems mature, Spotify anticipates introducing more flexible offer tiers (music-only, audiobook bundles, differentiated regional pricing) and incremental price increases in select markets. By diversifying offer tiers and extracting more value from deep-engaged users, Spotify expects to elevate monetisation without materially increasing churn risk.

Nevertheless, the long-term outlook is not without caveats. Execution remains critical: scaling creator tools, globalising content formats, governing AI-driven personalization, navigating rights frameworks, and adapting to varying regional monetisation economics all present challenges.

Strategically, the “flywheel” effect, where innovation drives engagement, engagement drives monetisation, monetisation funds reinvestment, must be maintained over time. Any disruption in one component (for example, ad market softness or regulatory headwinds) could slow the wingbeat of the flywheel and delay the long-term value creation path.

Spotify's long-term outlook is robust: the company is positioned at the intersection of scale, monetisation diversity, operational leverage and evolving offer sophistication. If it executes effectively, Spotify stands to capture disproportionate value in the global audio market and solidify its leadership. The success of this outlook will depend on maintaining growth momentum, expanding monetisation levers, and applying disciplined reinvestment, thus turning strategic ambition into sustained performance.

CONCLUSIONS

This project examined Spotify Technology S.A. as a leading case in the evolution of the music industry from ownership to access. The analysis shows how Spotify helped normalize on-demand streaming by combining a large catalog with a user experience built around personalization and discovery, turning listening into a continuous, data-driven journey rather than a one-time purchase. At the same time, the work highlights a persistent tension in the sector: while streaming has expanded global listening and revitalized monetization, debates around fair compensation and the distribution of value between platforms, rights holders, and artists remain central.

From a competitive perspective, Spotify remains the main benchmark in global audio streaming. The comparative framework in the project places Spotify clearly ahead in market share (31,7%), disclosed monthly active users (675 million at the end of 2024), and paid subscribers (263 million). Competitors challenge Spotify with different strengths: Apple and Amazon leverage broader corporate ecosystems, YouTube benefits from platform integration and bundling, while Tencent and NetEase illustrate a model where social interaction and community features play a stronger role in engagement and monetization—especially in the Chinese market. Overall, the comparison suggests that leadership is not based on one factor only: scale matters, but so do bundling, user retention mechanisms, and the ability to differentiate the experience.

The financial analysis is the clearest sign of Spotify's shift into a more mature phase. After several years of negative profitability, 2024 marks a structural break: net income reaches €1.138 billion and key indicators turn decisively positive, including ROA (9.48%), ROE (20.58%), and ROIC (16.39%). The project interprets this result as the outcome of stronger monetization (including price and advertising improvements), tighter cost discipline, and a more scalable operating structure. In other words, Spotify's growth has begun to translate into durable profitability rather than only expansion in users and revenue.

Looking forward, the work suggests that Spotify's long-term success depends on keeping this balance between growth and profitability while reducing dependence on traditional music licensing economics. The strategy described in the project points toward expanding monetization beyond subscriptions through advertising efficiency, creator tools, and adjacent formats such as audiobooks, supported by strong cash generation (free cash flow of €2.3 billion in 2024). However, this trajectory is not automatic: it requires careful execution and constant adaptation in a market where competition is intense and switching costs for users can be low.

Spotify emerges from the analysis as a company that has strengthened its position not only through scale, but also through a clearer ability to capture value from that scale. The main challenge ahead is to protect margins in a business where royalties and content costs remain structurally significant, while continuing to innovate and diversify without losing focus. If Spotify can manage these trade-offs: monetization versus churn, innovation versus cost control, and expansion versus regulatory and rights constraints, it can consolidate the transition from market leader to long-term value creator in the global audio economy.

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